



Brussels, 16 April 2026

MR/MM/MvB

**EACB comments on
European Commission targeted consultation on the
competitiveness of the EU banking sector**

Answers to selected questions

1.1. Contribution of the banking sector to the EU economy

Q1. How is the banking sector currently supporting economic growth in the EU, and to what extent (for example, by providing loans to households and businesses, supporting innovative sectors, and helping channel investments into capital markets (including for retail investors))? How could banks do more to boost productivity and economic growth, thereby supporting the priorities of the EU and accelerating the green, digital and social transitions? Please give concrete examples and evidence.

The EU banking sector plays a central role in supporting economic growth, investment and resilience across the Union. In particular, local cooperative banks provide stable long-term financing to households and businesses and act as key financing partners for SMEs, including many highly specialised “hidden champions” that are critical to Europe’s industrial base. Due to trends towards standardisation, larger, universal banks often lack incentives to provide small-scale financing, thereby leaving a portion of credit demand underserved. In this context, cooperative banks perform a distinct and valuable function within the credit market by facilitating the allocation of funding to firms whose financing opportunities would otherwise be more limited, thereby supporting the broader productive fabric of the economy, particularly at local level.¹ Through close regional ties and relationship-based banking models, they ensure continuous credit provision even in periods of economic uncertainty. This role should be adequately recognised and supported within the regulatory and policy framework.

Beyond lending, cooperative banks also channel household savings into productive investment and support the link between bank-based financing and capital markets. They offer a broad range of savings and investment products, including capital-market products with a strong European focus, thereby supporting retail investor participation in long-term investment. To further strengthen this role, the implementation of an EU Savings Account at national level would create incentives for private households to invest more in long-term savings and retirement provision and help mobilise additional private capital for the European economy.

Banks could support productivity and economic growth even more effectively if enabling conditions were improved. In the area of the green transition, banks already finance renewable energy projects such as photovoltaic and wind installations, energy-efficient building renovations for households, and transformation investments by SMEs. Further expansion would require a more practicable EU taxonomy, especially for SMEs, and greater capital flexibility within banks.

¹ For example, see No. 1004 - *Corporate lending by Italian less significant institutions: an empirical analysis*, G. Meucci, 2026, which focuses on the role of LSIs in Italy.



In the digital transition, banks can act as trusted enablers of digital identity and authentication solutions, for example through bank-based digital wallets, supporting secure digital transactions and public-private digital ecosystems.

Regarding the social transition, banks support social housing (including housing cooperatives, which play an important role in the rental housing market of different jurisdictions), energy and infrastructure investment, as well as projects in healthcare and education, often in cooperation with public and promotional institutions. These activities could be scaled up significantly through targeted public risk-sharing instruments that reduce banks' capital burden and allow them to take on long-term, transformation-related risks.

Banks also contribute to Europe's strategic resilience and security. Cooperative banks, in particular, finance SMEs that form part of the security and defence supply chain and that are often too small or insufficiently standardised for large international banks, but are nevertheless essential for Europe's defence capabilities and strategic autonomy.

The banking industry has, over the past 25 years, played a tremendously important role in facilitating the cross border flows of payments. With the creation of the European Payments Council, initiated by some 42 banks and the European Credit Sector Associations² and later joined by Payment Service Provider communities, a body saw the light whose purpose was to create European wide standards and rules to facilitate payments traffic supporting the European economy across borders. One of its more recent successful deliverables was the Instant Payment Scheme, which regulators saw fit to enshrine in legislation so as to ensure European roll out.

Overall, banks could do more to boost productivity and economic growth if regulatory complexity were reduced, capital constraints eased, and public guarantee and risk-sharing instruments strengthened. Such measures would enable banks to expand financing in line with EU priorities and accelerate the green, digital and social transitions.

Q2. Is current credit demand adequately met by banks and how is the demand and the capacity to meet it likely to evolve in the medium and long-term? Are you observing barriers affecting bank financing in support of the economy, including in areas identified as political priorities by the EU or Member States? Please elaborate by providing evidence and identifying economic sectors where access to credit could be improved.

Current credit demand in the EU is broadly being met by banks. However, credit demand is expected to increase significantly in the medium and long-term. Financing needs are rising across key sectors, notably energy, digital and physical infrastructure, housing and defence. In addition, substantial investment is required for the transformation of SMEs, including sustainability upgrades and digitalisation, as well as for residential real-estate renovation and energy-efficient refurbishment by households. These trends point to structurally higher financing needs over the coming years.

At the same time, several barriers affect banks' capacity to support the economy in line with EU and Member State priorities. Capital requirements are often insufficiently risk and business model sensitive, limiting balance sheet flexibility. In addition, rising regulatory requirements and overall regulatory complexity absorb capital and operational resources, constraining banks' ability to expand lending at scale.

As a result, access to credit could be improved through more proportionate capital requirements, reduced regulatory complexity and a framework that better supports long-term investment financing.

The holding limit to be established for the digital euro may also impact credit provision as credit institutions, and especially regionally oriented cooperative banks, rely heavily on retail deposits as source of funding for their lending capacity.

² European Association of Cooperative Banks, European Banking Federation, European Savings and Retail Banking Group



Q3. For the following types of clients seeking financing, how would you assess the ability to access finance and the availability of financing options? What obstacles may limit the ability of banks to provide credit to these clients?

Clients' ability to access finance and the availability of financing options are adequate. The obstacles that may limit banks' ability to provide credit to clients relate to the clients' repayment capacity and ability to provide collateral. Regulation also is becoming an obstacle, in particular the strict requirements on loan origination (e.g. EBA GL on loan origination and monitoring) and macroprudential measures in the area of residential and commercial real estate financing (systemic risk buffers). With regard to retail clients and SME the EBA Guidelines on proportionate retail diversification methods under Article 123(1) of Regulation (EU) No 575/2013 lead to higher funding costs for these clients, as the EBA introduced a hard 0.2% granularity criterion, with a 10 % exemption threshold, for retail exposures that will disproportionately affect especially smaller institutions.

(i) Retail clients

Retail clients generally have good access to basic banking services and a broad range of payment and digital financial products. Access to consumer and mortgage credit is in principle available, but several factors can limit banks' ability to expand lending to retail customers.

First, consumer protection and conduct rules, while important for safeguarding clients, often lead to complex processes and higher compliance requirements, which can reduce flexibility and increase costs in retail lending. An example of this is the addition to the most recent version of the Consumer Credit Directive of the strict obligation only to provide credit if the creditworthiness assessment is positive. While the intention is well understood, this requirement curtails the freedom of banks to find other justifications for providing a credit that at times can be really necessary. Second, ongoing economic uncertainty affects households' creditworthiness. Declining real incomes, higher living costs and more flexible work contracts can weaken debt-servicing capacity and increase banks' risk assessments, thereby constraining credit supply. Finally, high and in some cases overvalued residential property prices limit access to mortgage financing. Higher loan-to-value requirements and affordability constraints make it more difficult for households to qualify for housing loans, despite strong underlying demand.

Overall, while retail clients are generally well served, access to credit could be improved through a more proportionate regulatory framework, stable economic conditions that support household incomes, and a housing market environment that better aligns prices with fundamentals.

(ii) SMEs

SMEs generally retain good access to credit through regionally anchored cooperative banks. At the same time, financing needs for innovation, digitalisation, sustainability investments and supply-chain resilience are rising. Banks support these needs, but their capacity to scale lending is constrained by disproportionate regulatory and reporting burdens, which affect cooperative banking networks more strongly. These limitations are particularly significant for agricultural loans and SMEs in the start-up phase, investing in new technologies.

Q4. To what extent does market fragmentation affect consumers' and businesses' cross-border access to banking products and services? Please give examples, such as but not limited to IBAN discrimination and difficulties of businesses and individuals to open a bank account, lack of harmonisation of banking products, challenges linked to open finance data sharing. Please provide data if available

Mortgage lending

Real estate financing models in the Member States have specific features unique to each country (e.g. language, tax deductibility regimes, insurance requirements, role of notary, specific regulated loans). This



contributes to market fragmentation and makes cross-border access more complex. In the French financing model, for example, particular features include borrower insurance, mutual guarantee schemes, the role of the notary in registering property transfers, and the existence of specific regulated loans (e.g. PTZ – zero-interest loans).

Consumer credit

The economic, cultural and social security specificities of the Member States, and the diversity resulting from them, are key elements to be taken into account in the provision of products and services. The use of and appetite for products and services differ from one Member State to another.

Investments (and capital markets)

The economic, cultural and social specificities of the Member States, and the diversity resulting from them, are key elements to be considered in the provision of products and services. Beyond the issue of non-harmonised taxation across the 27 Member States, parameters such as distribution channels, access to advice, risk appetite, and socio-economic determinants (demographics, language, taxation of labour and businesses, pension systems, housing, healthcare systems, economic structure of companies, especially SMEs, etc.) must be taken into account in this “fragmentation”.

Despite significant efforts to harmonise regulation and supervision across the EU, market fragmentation continues to affect consumers’ and businesses’ cross-border access to banking products and services. Differences in the interpretation and application of regulatory requirements and supervisory practices across Member States limit the scalability of national solutions.

In practice, cross-border service provision and customer accessibility remain limited. Banks are required to ensure comprehensive customer service and availability, including call-centre support and complaint handling, across markets. Maintaining such cross-border service infrastructures is costly and resource-intensive and can represent a competitive disadvantage compared to digital-only providers or BigTechs, which often offer limited or no customer reachability.

As a result, even where cross-border products are technically feasible, banks often remain obliged to design and align their services primarily at national or regional level in order to comply with local requirements and maintain trust in the financial system.

At the same time, it can be questioned to what extent at individual citizen level, there is an interest to purchase certain financial services from a provider that operates from another Member State. We believe this depends in an important way on the importance of the service (e.g. payment services versus lifetime mortgage), the availability of the service in the language of the customer, the sense of trust in doing business with a party that does not fall under the legal, licensing or supervisory system of the Member State of the customer.

Q5. To what extent does the EU economy benefit from a diversified banking sector? How would you further encourage the diversity of the EU banking sector landscape, with banks operating across different business models (universal, investment, savings, mortgage financing, cooperatives, digital banks, etc.)? Please elaborate whether and how banking sector diversity matters.

The EU economy benefits significantly from a diversified banking sector with different business models, including cooperative, savings, universal, specialised, and digital banks. Diversity strengthens financial stability, competition and economic resilience, as different institutions serve different customer groups, regions and financing needs. In particular, decentralised regional banks play a crucial role in financing SMEs, households and regional economies, while larger and specialised institutions support capital market access and large scale investment projects. This diversity helps ensure broad access to finance and prevents excessive risk concentration.



Banking sector diversity also enhances shock absorption. Different business models respond differently to economic stress, reducing systemic vulnerability and supporting continuous credit provision across the cycle. In this sense, diversity is a complement to financial stability rather than a trade-off.

Cooperative banks play a structurally important role in supporting the competitiveness of the EU banking sector by anchoring financial services in Europe's regions. Their locally rooted governance model, proximity to SMEs and households, and long-term relationship banking approach enable them to channel savings into productive investment within their territories. By sustaining access to finance in both dynamic growth hubs and less densely populated areas, cooperative banks contribute to regional resilience, entrepreneurship and economic cohesion.

By way of example, cooperative banks play a pivotal role in underpinning the competitiveness and resilience of the EU's agri-food sector. Deeply embedded in their local territories, they have longstanding relationships with farmers, agri-cooperatives, food processors and rural SMEs, enabling them to understand sector-specific risks, seasonal financing needs and long-term investment cycles. Co-operative banks structurally operate with a significantly larger share of stable deposit financing than all other banks (52% versus 40% in 2024, respectively)³. By recycling local savings into primary production, sustainable farming practices, innovation in food processing and rural infrastructure, cooperative banks help sustain dynamic rural regions and strengthen the entire food value chain. Finally, the average Tier 1 ratio of co-operative banks is significantly higher than that of other banks (19.1% versus 17.9% in 2023), indicating a high degree of solidity and an active role in guaranteeing the financial stability of the EU banking sector.⁴

The current complexity hampers institutions across the board, and even more cooperative banks, being in good part behind the progressive disappearance of many of them in Europe, especially the smaller ones, with consequences on competitiveness and diversification of the banking sector.⁵ But even for large or merged institutions, the cost of implementing and complying with new requirements is often disproportionate. Moreover, the intention to generally impose rules that do not adequately reflect considerations of size, risk profile, legal form and business models ('one size fits all') has led to unnecessary complexity and capital constraints. This restricts the financing of households and SMEs, reducing the range of financial services available in the Union, especially in rural areas as banks need to shift resources towards compliance. The cost of reporting and processes is particularly difficult to bear with for the smallest ones.

To preserve and strengthen diversity, regulation should better reflect differences in size, risk profile, governance and business model, in line with the principle of proportionality. Simplifying reporting requirements and regulatory processes to what truly adds value, avoiding unnecessary complexity, and ensuring fair competitive conditions would help maintain a diverse banking landscape.

According to Recital 42 CRR, it is essential to take account of the diversity of institutions in the Union by providing alternative approaches to the calculation of capital requirements for credit risk, incorporating different levels of risk sensitivity and requiring different degrees of sophistication. It should be borne in mind that fifteen years after the outbreak of the major financial crisis, the regulatory environment for banks has fundamentally changed. On the one hand, new European regulations based on Basel standards (Basel III and its finalisation) have led to much stricter rules. On the other hand, the complexity of the framework has massively increased. Simplification and recalibration of the regulatory framework, especially for cooperative banks, and a proportionate approach, based on risks avoiding overly stringent or one-size-fits-all requirements, is essential to ensure that these banks retain the flexibility to finance agricultural transition,

³ [20250903_hg_research_letter_european_cooperative_banks.pdf](#)

⁴ See note 1

⁵ Please see, for example, Pisicoli, B. (2022). Banking diversity, financial complexity and resilience to financial shocks: evidence from Italian provinces. *International Review of Applied Economics*, 36(3), 338–402. Also Groeneveld, H. (2022). The performance of European cooperative banks - a snapshot



food security and rural development. Such flexibility is key to maintaining vibrant rural economies and a competitive, sustainable EU agri-food system.

Q6. Do you consider that national promotional banks and public guarantee institutions provide a complementary contribution to the activities of commercial banks in financing the EU economy?

The programs offered by regional or national promotional credit institutions, as well as public guarantee banks, are frequently an integral component of a comprehensive financing solution provided by commercial banks to their clients. The financial support for SMEs delivered by promotional banks and guarantee institutions is designed to enhance financing conditions—primarily through low-interest loans with extended maturities, the provision of equity capital or quasi-equity instruments, and the assumption of guarantees—thereby stimulating investment and fostering greater innovation momentum. In addition, the programs of promotional credit institutions contribute to improved energy efficiency in the building sector.

However, further improvements to the current framework are needed. The EACB proposes to incorporate specific provision (g) in Article 118 of the CRR for “public guaranteed exposures” to simplify their use by banks in the capital calculation and reporting. We propose the following text:

“(g) specific EU programs set up and published by the European Commission to accelerate the financing to sectors that the EU considers strategically important and that are guaranteed by the European Union, either via the European Investment Bank or European Investment Fund or other EU supported institutions”.

The recent geopolitical developments make it clear that the EU stands for a huge task to get less dependent from other geopolitical blocs. Shoring up its autonomy on defence, energy, semiconductors, battery power, data centres and software, to name a few, requires significant investments, where we notice that many Member States are confronted with fiscal restrictions.

Public guarantees have been demonstrated to be a strategic instrument for enhancing the development of the European industry. Supporting the banks’ lending activity or banks taking an equity stake through specific tailored public guarantee programs would increase the banks’ ability to finance the real economy by setting the high level of deposits posed to these by the European public at work, without adding risk to the balance sheet of the banks.

In the view of the EACB, these programs are complementary to the objective of the Commission to finance these sectors by the Savings and Investment Union.

This proposal is just a simplification of the use of public guarantees as allowed under Article 201 CRR and is not a reduction in the capital requirements. It simplifies the use of these guarantees as it would not require banks to use the credit risk mitigation section of the CRR, which is complicated to implement and use and also requires additional reporting requirements under Part 7A of the CRR.

Q7. To what extent would the EU economy benefit from the following changes in the banking landscape?

	<i>To a very large extent</i>	<i>To a large extent</i>	Neutral	<i>To a small extent</i>	Not at all	No opinion
Cross-border bank consolidation			X			
Domestic bank consolidation				X		
Banking services offered across the single market		X				
Digitalised banking services			X			
Other (please indicate)						X



Regionally anchored financial institutions play a crucial role in financing the real economy within their local markets. Their decentralised structures and diverse business models have repeatedly proven to enhance resilience and stability during times of crisis.

However, digital banking processes and products do not generate growth unless they are designed to genuinely meet customer needs. Likewise, cross-border consolidation tends to reduce local market knowledge, which can weaken the accuracy of credit risk assessments. In this context, regional presence and decentralised organisation remain important stabilising factors for the banking sector.

The answer to this question depends on the purpose that is pursued. If we are looking to create banking champions of size and scale that can compete with non-EU banks and can service large pan European companies/accompany scale ups, we would benefit from cross-border consolidation. We would also have to accept on the other side that banks of this scale may choose not to service all market segments and may carry specific risks that need to be managed.

Domestic consolidation does not seem to be the most urgent given that it continues to take its natural course in function of needs for efficiency gains and client demand.

Banking services across different markets may be desirable for certain services (payments) or niche markets (mortgage, pensions).

Digital banking services are widely available, both from the side of banks as well as from the side of digital only banks or fintechs that enter profitable banking markets. The downsides of too much digitalisation should also not be underestimated. The digital divide and the desertification of the banking landscape in certain regions already give rise to complaints. Increased digitalisation (including AI application) can also lead to cherry picking of clients affecting the capacity to socialise the cost of certain services across customers (e.g. provision of cash, face-to-face or personal contact).

Q8. What are in your view the main risks faced by EU banks today?

EU banks currently face a combination **of macroeconomic, regulatory, structural and geopolitical risks**. A key challenge is the **prolonged period of economic weakness and uncertainty**, which increases credit risk, particularly for SMEs and highly leveraged sectors, and **may lead to rising defaults if growth remains subdued**. Elevated risk provisions and legacy effects from recent insolvencies continue to weigh on balance sheets.

Interest rate risk is another important factor. While banks have benefited from higher interest rates in recent years, rapid or unexpected changes in ECB monetary policy could negatively affect bank balance sheets, valuations, and funding conditions, thereby reducing lending capacity.

Regulatory and compliance risk has also increased significantly. The growing volume and complexity of EU financial regulation, including extensive Level 2 and Level 3 measures, absorb substantial capital and operational resources and may weaken banks' ability to lend, invest and innovate. One-size-fits-all solutions risk disproportionately affecting less complex or regionally focused institutions, characterised by a simple and prudent business model, and may undermine competitiveness. In addition, certain climate-related regulations, including requirements originally designed for other sectors (e.g., the EU Deforestation Regulation), also apply to banks and add further complexity and compliance burden without always being risk-adequate or risk-sensitive.

Another major risk stems from competitive distortions. **Banks face growing competition from less-regulated non-bank financial intermediaries and digital providers**, which operate under lighter capital and reporting requirements. This creates an uneven playing field and may shift risks outside the regulated banking sector.



Operational and technological risks are rising as well. Digitalisation and the increasing use of artificial intelligence require substantial investment to improve efficiency and risk management. At the same time, banks face stricter supervisory constraints on the use of AI than start-ups and technology firms, potentially limiting innovation and the speed of adoption. Cyber threats, fraud, data protection requirements and digital resilience challenges further amplify these risks.

In summary, geopolitical tensions (including conflicts, sanctions and trade measures such as tariffs) continue to destabilise markets and increase uncertainty. Regulatory ambiguity in strategically relevant sectors such as energy transition and defence further complicates risk assessment and long-term planning for banks. Taken together, these risks highlight the need for a proportionate, risk-based and predictable regulatory framework that safeguards financial stability while preserving banks' capacity to support the real economy.

Q9. What are in your view the main risks stemming from EU banks today?

The main risks stemming from EU banks today are **closely linked to their central role in financing the real economy and implementing EU policy priorities**. If banks' lending capacity is constrained, this can directly translate into lower investment, slower growth and delayed progress in the green, digital and security related transitions.

One key risk is insufficient credit provision to SMEs and regional economies, which remain heavily dependent on bank financing. Rising regulatory complexity, capital constraints and limited risk-transfer tools may reduce banks' ability to meet increasing financing needs, potentially amplifying economic divergence across regions and sectors.

1.2. Competitiveness and competition in the EU banking sector

Q10. In which of the following dimensions of competitiveness is the EU banking sector performing well?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
EU banks produce financial products at low cost and/or offer financial services at a low price			X			
International competitiveness: EU banks are able to maintain and increase their market shares in international markets					X	
Innovation competitiveness: EU banks are able to supply qualitative or innovative, original financial products or services		X				
Other (please indicate)						



Overall, the EU banking sector performs well across several dimensions of competitiveness, while its full potential is increasingly constrained by regulatory intensity rather than by a lack of capability or innovation.

EU banks generally offer financial products and services, particularly basic retail services and payment products, at relatively low prices. Strong competition and high efficiency pressures have contributed to affordable pricing for consumers and businesses. At the same time, cost structures remain elevated due to regulatory compliance requirements and legacy IT systems. With a more proportionate regulatory framework, EU banks could further improve cost efficiency and pass additional benefits on to customers.

EU cooperative banks perform particularly well in retail banking and SME financing, where strong customer relationships, trust and regional expertise are key strengths. In capital-market-related activities, however, EU institutions face tougher competition from global peers, especially from the US, which benefit from greater scale, deeper domestic markets and more flexible regulatory environments. Reducing internal market fragmentation and easing regulatory constraints would allow EU banks to compete more effectively internationally.

EU banks provide high-quality and reliable financial products, supported by strict regulatory standards that serve as a trust and stability seal. They are actively innovating in areas such as digital payments, sustainable finance, AI and data-driven services. The complexity of regulatory frameworks such as the AI Act, while important for safeguarding trust and ethics, risks limiting banks' ability to apply AI in an efficient way. Notably, the definition of AI should exclude logistic regression to ensure that banks can continue applying statistical methods that have been in use since the 1960s without having to comply with the heavy requirements of the AI framework. The double application of the Cyber Resilience Act in addition to DORA adds no value yet multiplies compliance costs. The FIDA proposal tries to force a data-sharing framework specific to the financial sector which: 1) risks strengthening the ability of non-EU companies to gain market share and increase the lock in effect they already have established with EU citizens through their digital platform services, 2) precipitates the digital omnibus discussions regarding the EU's general data sharing framework, 3) overlooks the lessons learned in Australia⁶, where the data sharing framework imposed enormous costs on the banking industry and the number of clients making use of it was negligible.

In sum, **the EU banking sector is competitive, innovative and trusted. Its performance could be significantly enhanced if regulation was not always considered the go-to solution, focused more strongly on risk-based approach, proportionality, technological neutrality and competitiveness considerations, allowing banks to fully leverage their strengths in innovation, scale and customer trust.**

Q11. What are the main regulatory and non-regulatory factors that determine and drive the competitiveness of EU banks? Please specify the factors per market segment: savings, payments, retail banking, corporate banking, investment banking (including underwriting, brokerage, custody, settlement, market making, etc.).

The competitiveness of EU banks is driven by a mix of regulatory and non-regulatory factors that vary across market segments. Overall, EU banks perform well in terms of trust, stability and core financial intermediation, but their competitiveness is increasingly constrained by regulatory complexity and market structure rather than by a lack of capability.

In savings and retail banking, EU banks benefit from strong customer trust, deposit guarantee schemes and effective consumer protection, which support affordable and reliable services. However, capital and liquidity requirements, regulatory overload from the combined initiatives of many different DGs, together with high compliance costs, limit product innovation and efficiency gains. In payments, banks face competitive disadvantages vis-à-vis global technology providers that operate benefiting from deep-pocket scale and network effects.

⁶ Please see https://www.ausbanking.org.au/wp-content/uploads/2024/07/CDR-Strategic-Review_July-2024.pdf



In corporate and investment banking, EU cooperative banks are strong in relationship-based SME financing but, for those that want to operate outside their territories, face challenges in capital-market-related activities due to fragmented markets, higher regulatory costs and lower scale compared to global peers. Overall, a more proportionate, technology-neutral and less complex regulatory framework would allow EU banks to further improve efficiency, innovate more rapidly and compete more effectively across all segments, while preserving high standards of stability and consumer protection.

The EU as a banking market proposes a competitive offer to citizens, as they have access to a wide range of providers. However, integration has not been fully realised because of long-standing fragmentation, gold-plating, divergent supervisory practices and barriers to the cross-border allocation of capital and liquidity, which continue to prevent banks from fully competing on a truly pan-European basis.

Q12. What are respondents' views on the additional section on CSRBB and the combined score for IRRBB and CSRBB?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
EU banks face high levels of competition within their Member State of establishment	X					
EU banks face high levels of competition in the EU market	X					
EU banks face high levels of competition in global markets/ markets outside of the EU	X					
Traditional banks are challenged by new developments in a number of product lines and areas (e.g. digital banks/FinTech in specific areas such as payments, tokenisation of assets, etc)	X					
Other (please indicate)						

In global markets, EU banks face intense competition from large non-EU institutions, especially in wholesale and investment banking, where European players continue to face scale disadvantages, higher regulatory costs and a less integrated home market.

Traditional banks are also increasingly challenged in specific product lines and activities by digital banks, FinTechs and new technologies, particularly in payments, digital distribution and tokenisation-related services; however, the universal cooperative banking model remains strong and adaptable to the need to innovate.

1.3. Banks and other financial institutions as enablers of capital markets

Q13. According to many analysts, EU banks are persistently undervalued by investors when compared to international peers. If you agree with this assessment, what could explain this undervaluation?



	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Limited scale and inefficiency of EU capital markets (limited depth, insufficient liquidity, etc.)		X				
Macro-economic environment (economic growth, inflation, fiscal situation, interest rates, demographics)		X				
Limited growth and scaling up prospects due to market fragmentation and different national rules			X			
Underinvestment in new technologies					X	
Supervisory practices (e.g. potentially impacting the level of dividend distribution and share buybacks)		X				
EU regulatory/ resolution frameworks (including international level playing field)	X					
Internal factors (low risk appetite, bank governance/culture)					X	
Uncertain or ineffective market exit for inefficient or distressed banks					X	
Other (please indicate)						

European banks show lower market valuation than their US counterparts. This lower valuation can be attributed to a combination of several factors.

Unlike the US banking sector, the European financial system encompasses various organisational models that remain poorly understood by market analysts. In particular, the cooperative banking model — widespread in many European countries — operates according to governance structures and strategic objectives that are fundamentally different from those of traditional shareholder-focused institutions. This structural heterogeneity poses analytical challenges. Investors and analysts accustomed to conventional banking models often struggle to assess cooperative banks correctly, as their profit distribution mechanisms, member-focused governance and focus on long-term stability differ markedly from those of conventional banks. This lack of understanding results in valuation discounts that do not necessarily reflect the underlying economic value.

In recent years, European banks have consistently posted lower ROEs than US banks. This gap has become a key concern for investors, reinforcing the impression that European institutions are less efficient or profitable.

Beyond structural factors, European banks face cyclical and regulatory pressures that have temporarily constrained their profitability and returns for shareholders. Macroeconomic indicators — notably falling interest rates, disparities in economic growth and geopolitical uncertainties — have weighed on the sector's performance.



Furthermore, regulatory approaches also differ, particularly regarding dividend distributions.

During the COVID-19 pandemic, in Europe, supervisory authorities banned distributions regardless of individual banks' profitability. This cautious approach prioritised systemic stability over individual banks' performance indicators. In contrast, US regulators directly linked dividend restrictions to banks' profitability and the results of stress tests. This divergence extends beyond crisis management. European supervisory authorities use the MDA (minimum capital requirements), which, when breached, trigger intervention and negotiations with the supervisory authorities regarding appropriate capital management and distribution policies. This approach emphasises flexibility and institution-specific assessment, allowing supervisory authorities to tailor restrictions to each bank's particular situation and risk profile.

Conversely, US regulators rely primarily on stress test results to determine capital distribution limits. These tests establish quantitative thresholds that directly restrict dividend payments and share buybacks based on projected capital adequacy under adverse scenarios. The US framework is less subject to the discretion of supervisory authorities, which creates clearer constraints from an investor's perspective.

Q14. Does the prudential framework adequately account for the activities and the complexity of intermediaries performing financial services other than core banking services? Are there any perceived undue limitations to such activities? Reference is made to financial services performed by investment firms, financial advisors, custodians, wealth managers, market makers or other liquidity providers that are not primarily or not at all engaging in deposit taking and granting loans.

The prudential framework does not adequately account for the activities and the complexity of intermediaries performing financial services other than core banking services.

One notable example is regarding "assets safeguarded and administered" (ASA), the Investment Firms Regulation (IFR), replacing the CRR for investment firms, introduced a specific capital requirement (K-ASA) meant to reflect "risks of clients experiencing losses because of failure by the investment firms in safekeeping the securities". The new computation will apply starting with end-June 2026, regrettably only based on a scalar applied to the volume of the activity, irrespective of the quality of the custody chain (e.g. rules of protection of assets held in custody, lower country risk):

$$\text{Capital requirement}_{\text{K-ASA}} = 0.04\% \times \text{assets safeguarded and administered}$$

This simplistic formula results in exaggerated capital impacts in practice, far exceeding CRR requirements for equivalent ASA activities. As an illustration, in the case of an ASA activity delegated by an investment firm (subject to IFR) to a bank (subject to CRR), the K-ASA can be 4 times higher than the CRR requirements for the same activity. The K-ASA is clearly over-punitive for the competitiveness of investment firms, deterring them from developing an ASA activity, as it completely ignores the quality of the asset protection. It creates an unwarranted unlevel playing field between investment firms and banks, and even when the investment firm is a subsidiary of a bank. Nonetheless, the review of the entire IFR (calibration of the K-ASA, considerations of quality of the custody chain) would be lengthy and the new computation will apply as of end-June 2026. A targeted solution, for instance through an omnibus, could be to set a cap on K-ASA based on CRR equivalent requirements, in order to level the playing field between different forms of financial firms in the EU.

Another subject to signal is an emerging example concerns operational risk under Basel III. While the EU implementation mandates a gross-based calculation of the Business Indicator Component, recent US draft Basel 4 rules allow netting of income and expenses for non-interest components, improving risk sensitivity and avoiding accounting-driven distortions. This divergence risks creating an unlevel playing field for EU institutions, notably asset managers. Regulation No 575/2013 (CRR), as amended by Regulation (EU) 2024/1623, includes amendments to the operational risk capital calculation, where a revised framework is



introduced and all previously existing approaches for the calculation of the regulatory capital are replaced by the business indicator component (BIC). The BIC is based on the business indicator (BI), which measures an institution's volume of business. The BI is based on three components: an interest, leases and dividends component (ILDC), a service component (SC) and a financial component (FC). The service component is calculated based on four amounts: other operating income (OI), other operating expenses (OE), fee and commission income (FI) and fee and commission expenses (FE), and the following formula applies: $SC = \max(OI, OE) + \max(FI, FE)$. As already highlighted by answers to the EBA consultation related to the draft RTS on BI calculation, asset managers may retrocede a portion of the fees they perceive to distributors. Asset manager final revenue is then the net amount of fees perceived. Operational risk should consequently be linked to the net amount retained by the asset manager, not the gross revenue collected. Applying the maximum amount between fee and commission income and fee and commission expenses, without considering net fees, create an unwarranted increase of the operational risk amount. During the consultation phase, EBA answered that the calculation of the SC based on the gross value is consistent with BCBS final standard and CRR text adopted. However, US recent draft transposition of the Basel 4 package recommends to apply a netting of income and expenses in the calculation of the non interest component. The FED argues that this approach (i) ensures a consistency of treatment with the approach used for the ILDC component and (ii) avoid potential discrepancies due to heterogeneous accounting treatments. Thus, we consider necessary to reopen the discussion on operational risk calculation at UE level to ensure a level playing field with the US competitors.

Q15. How would you assess the competition between banks and other entities performing financial services (such as financial conglomerates, investment firms, FinTechs, etc.) from the perspective of the overall functioning of capital markets (provision of liquidity, transparent market information and pricing, scaling up of trading venues etc.)?

Competition between banks and other financial service providers has intensified, with mixed effects on the functioning of EU capital markets. While FinTechs and non-bank intermediaries can enhance innovation and niche liquidity, banks are subject to comprehensive prudential, conduct and reporting requirements, whereas shadow banks/NBFIs and some BigTechs operate under significantly less restrictive prudential, supervision and governance regimes, reducing compliance costs. This creates an uneven playing field, shifts risks outside the regulated banking sector and may undermine transparency, pricing quality and market integrity.

To safeguard stable liquidity provision, transparent market information and the orderly functioning of capital markets, regulation should be more consistently aligned with activities and risks. Comparable capital-market activities should be subject to comparable risk-based regulatory requirements in order to avoid unjustified competitive disadvantages for regulated credit institutions.

Finally, ICT providers that play a systemic role in the financial sector should be subject to a consistent, enforceable regulatory framework that addresses risks at source rather than solely through obligations imposed on banks.

1.4. Cross-border activities in the EU banking sector

Q16. For retail banking as well as for wholesale and investment banking, would you agree with the following statement: 'The EU banking market is highly fragmented along national borders, domestic entities mainly cater for domestic clients, cross-border activity is subdued, and it is very difficult for clients to get banking services across the single market.'?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Retail banking				X		



Wholesale and investment banking				X		
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The European retail banking market is generally quite saturated and highly competitive, with a very large number of players.

The retail offering tends to be tailored to the specific cultural values, habits, expectations and usage patterns of customers of the different member states.

As a result, national banking service offers may be difficult to export as such. While this may be considered as a problem at the macro level, at the Member State level this may be perceived differently.

More specifically, the statement “The EU banking market is highly fragmented along national borders, national entities mainly serve domestic clients, cross-border activity is limited” might be true for several market segments.

On “It is very difficult for customers to obtain banking services across borders within the single market”, this depends on the products:

- Everyday banking services (opening a bank account, payment cards, etc.) are easy to obtain, and investment services appear accessible across borders within the single market. The same goes for payment services with instant payments being mandatory across the Eurozone and being rolled out across the EU;
- By contrast, mortgage loans (in particular) and consumer credit are subject to more “couleur locale” and therewith less easy to obtain.

Q17. What are, in your view, the benefits and the costs associated with the current level of cross-border banking activities in the EU, and what would be the benefits and costs associated with further integration of banking activities in the EU? Please also include quantitative estimates if available.

The current level of cross-border banking activity in the EU presents both advantages and limitations. On the one hand, a more domestic focus allows institutions to maintain a strong understanding of local markets and risks, while preserving close relationships with customers. This proximity contributes to effective risk management and supports tailored financial services.

On the other hand, limited cross-border integration also entails important costs. Banks may be unable to fully benefit from economies of scale, while operating across multiple jurisdictions often leads to the duplication of infrastructures and increased regulatory and compliance costs.

Further integration of the EU banking market could therefore bring significant benefits. In particular, it could help reduce operational costs through greater efficiency and enable better risk diversification across geographies. However, deeper integration also comes with potential challenges. It may involve substantial implementation costs and lead to increased supervisory complexity, particularly in ensuring consistent oversight across jurisdictions.

Q18. What factors prevent EU banks from engaging in more cross-border activity within the EU or make cross-border activity more costly?



	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Divergent implementation of EU banking rules across Member States		X				
Supervisory divergence/gold-plating by Member States/national supervisors		X				
Requirements for allocation of capital and liquidity at local level	X					
Non-harmonised macroprudential buffers	X					
National discretion in intragroup large exposure limits		X				
Incomplete banking union (lack of a European deposit insurance scheme, liquidity in resolution, etc.)					X	
Non-prudential barriers (insolvency, investor protection, company law, taxation)		X				
Political barriers (government direct or indirect interference)		X				
Complexity and length of mergers and acquisition supervisory authorisation procedures	X					
Costs/risks of mergers and acquisitions	X					
Absence of economies of scale from engaging in cross-border activities			X			
Other (please indicate)		X				

Barriers to entering additional EU markets primarily stem not only from the above-mentioned barriers but also from market saturation, as markets may already be occupied by established players. Moreover, cross-border expansion often runs counter to the business model of regional banks, which is fundamentally based on local proximity and strong regional anchoring. This model enables deep market knowledge and close integration with the regional economy and society, which in turn builds trust and enables a sound, on-the-ground risk assessment that cannot be replicated through centralised, remote decision-making.

Q19. Why have EU banks generally relied more on subsidiaries rather than branches and the free provision of services for their cross-border activities within the banking union and the single market?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
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Incompatibility with internal organisational strategy and budgets			X			
Preference for domestic markets		X				
Preference of Member States/national authorities for subsidiaries, as they bring more employment, tax revenues, supervisory control, etc (moral suasion)	X					
Client preferences (language, trademark recognition)	X					
Lack of trust in deposit guarantee schemes of the host Member States					X	
Group resolution strategy			X			
Non-prudential barriers like divergences in contract and civil laws, labour laws, product features, consumer protection rules, foreclosure rules, etc.	X					
Other operational benefits linked to the legal form of a branch vs. subsidiary	X					
Other (please indicate)						

In the EU's retail banking sector, cross-border consolidation is typically achieved through the acquisition of existing banks, which become subsidiaries. Transforming these into branches is challenging due to cultural, political, and competitive factors.

For corporate banking, converting subsidiaries into branches is easier and more common. Key constraints include labour law, corporate law, tax considerations and the loss of contributions to the local deposit insurance fund.

Furthermore, host country authorities often prefer that banks from other Member States maintain subsidiaries to exercise greater control.

Q20. Could you provide a quantitative estimate of the additional requirements and costs (e.g. liquidity requirements, capital requirements, resolution or macroprudential requirements, operational costs in % of balance sheet, etc.) for a banking group that makes use of subsidiaries as compared to the same banking group relying on branches or freedom to provide services?

The additional costs for a banking group making use of subsidiaries rather than branches stem from the sterilisation of capital and liquidity within the subsidiaries. Within the Banking Union, capital and liquidity management should be unlocked through a consistent and automatic use of waivers, while MREL-related constraints should be removed, recognising the progress and safeguards in supervision and resolution.



1.5. International level playing field

Q21. What is your assessment of the level playing field in the European banking market, with regards to the presence of significant non-EU financial institutions?

The level playing field in the European banking market remains uneven with regard to the presence of significant non-EU financial institutions. While non-EU banks operating in the EU are subject to EU prudential and conduct rules for their local activities, important differences persist in regulatory treatment, supervisory expectations and structural requirements, depending on whether activities are conducted through subsidiaries, branches or cross-border services.

EU banks often face stricter capital, liquidity, resolution and reporting requirements at both the consolidated and local levels, while large non-EU institutions may benefit from greater flexibility, scale advantages and more integrated home market structures. This can create competitive disadvantages for EU headquartered banks, particularly in capital market-related activities and wholesale banking.

A consistent, risk-based and proportionate application of EU rules, combined with strong supervisory cooperation with third country authorities, is essential to safeguard financial stability while ensuring competitive neutrality between EU and non-EU banks.

Q22. According to many analysts, EU banks have lost market share in the provision of investment banking services to EU clients compared to non-EU banks. If you agree with this assessment, what are the reasons for this decline?

The overregulation of the capital market in the EU is a fact and remains a significant limitation for EU banks. Indeed, prudential rules and the current securitisation framework have reduced the ability and profitability of this segment, as the huge compliance costs absorb economic and human resources from EU banks. This is also hampering their ability of approaching more risky and uncertain activities.

The scope of (new) obligations for companies and banks offering this range of services will exacerbate the phenomenon of non-competitiveness, with a doubtful likelihood of attracting new individual investors on a massive scale.

Another example could be the legislation related to the AML regulations. There is indeed a constant expansion of formal requirements. For example, banks have to collect a large amount of data in many situations of the business relationship, which can be seen as very burdensome and in many cases does not offer a real added value. As a consequence, resources are often tied up for these formal requirements, causing a real competitive disadvantage for European banks in an international, worldwide context. Indeed, European due diligence measures often reach further than most of the rest of the international worldwide standard.

Q23. To what extent do the following difficulties faced by EU banks hinder their ability to compete globally?

	<i>To a very large extent</i>	<i>To a large extent</i>	<i>Neutral</i>	<i>To a small extent</i>	<i>Not at all</i>	<i>No opinion</i>
Divergent banking prudential rules applying to EU and non-EU banks impact international strategic choices by EU banks	X					
Supply side factors (e.g. cost competitiveness, innovation, depth of home market).					X	



EU supervisory practices affect expansion in other jurisdictions	X					
Other (please indicate)	X					

EU banks face significant global competitiveness constraints due to structural, regulatory, and institutional factors.

Supervisory fragmentation across Member States increases compliance costs and legal uncertainty, while limited use of convergence tools allows divergent practices to persist.

The legislative process generates complexity, with broad Level 1 mandates leading to excessive Level 2 and 3 measures, often adding obligations without legal basis. A stricter Lamfalussy hierarchy is needed for clarity and proportionality. Engagement with market participants is insufficient because it often consists of consultations with short deadlines and limited consideration of industry expertise. Impact assessments should be ex ante and ex post and controlled.⁷

Prudential requirements are more conservative and administratively burdening, with higher capital, leverage, and MREL constraints, broader scope, and higher funding costs compared to other jurisdictions. The combined effect of MREL and the output floor creates capital inefficiencies and reduces lending capacity.

A coherent response requires a competitiveness mandate, stronger convergence, improved legislative discipline, better stakeholder engagement, and recalibration of capital and MREL frameworks.

Q24. To what extent do the rules on internal governance and remuneration policies of financial institutions create a competitive disadvantage for EU financial institutions vis-à-vis non-EU financial institutions?

<i>To a very large extent</i>	<i>To a large extent</i>	Neutral	<i>To a small extent</i>	<i>Not at all</i>	No opinion
	X				

We consider that certain European regulatory requirements, and particularly those relating to internal governance and remuneration, place EU institutions at a competitive disadvantage compared to their non-European counterparts.

While these frameworks aim to ensure sound, prudent management, they have expanded disproportionately across all regulatory layers (Level 1, 2 & 3) and their implementation in Level 2 and 3 texts is often overly prescriptive. They introduce detailed organisational, legal, and operational constraints that go beyond what is necessary to achieve their objectives, sometimes without legal basis, and without demonstrated prudential benefits or a corresponding gain in risk mitigation. In particular, they impose a high degree of formalisation

⁷ Please see the Less is more report (<https://lnkd.in/eHkSrQKX>)



regarding the structure of management bodies and the definition, documentation, and traceability of individual responsibilities. These requirements add to existing internal control and risk management obligations, resulting in significant administrative and compliance burdens. Similarly, the EU multiple requirements in terms of governance documentation are often redundant with other information available at entity level in frame of their day-to-day management (job descriptions, internal charts, ...).

In this context, Level 1 text should remain principled based, Level 2 measures should be strictly limited to essential technical elements aligned with Level 1 legislation, while Level 3 guidance should avoid excessive granularity and remain non-binding in practice. Some Level 3 texts currently go beyond Level 1 provisions and, in certain cases, conflict with national legal frameworks or specific governance models, such as those of cooperative banks. Given that institutional diversity is a key pillar of financial stability in Europe, such inconsistencies ultimately weaken both resilience and competitiveness (please refer to the [Less is More Report](#)).

With regard to remuneration, the European framework is based on the principle that compensation should not incentivise excessive risk-taking. However, the cap on variable remuneration at the level of fixed remuneration significantly limits flexibility in pay structures, particularly for attracting and retaining highly specialised profiles in areas such as investment banking, structured finance, and market activities.

This constraint is not mirrored in other major jurisdictions, notably the United States and certain Asian financial centres, where greater contractual flexibility exists. As a result, EU institutions face a structural competitive disadvantage. Moreover, the cap on variable remuneration has led to an increase in fixed pay, reducing institutions' ability to adjust costs in periods of financial stress.

Finally, governance requirements, in particular those related to fit and proper assessments, generate substantial administrative burdens. This is especially significant for cooperative banks, which account for a large share of such assessments due to their governance structures.

Overall, while the European framework supports financial stability and prudential credibility, its current level of prescriptiveness creates unnecessary constraints and may reduce the attractiveness and competitiveness of EU financial institutions.

Q25. Do EU-headquartered banks and investment firms face regulatory constraints that hinder their competitiveness vis-à-vis non-EU financial firms? If yes, what are the key constraints?

Yes. EU-headquartered banks and investment firms do face regulatory constraints that hinder their competitiveness vis-à-vis non-EU financial firms. The key constraints are not limited to capital levels: they also concern how capital and liquidity are trapped, how risks are measured, and how difficult it is to develop and scale products across borders.

On the prudential level:

- Layers of requirements at solo, sub-consolidated and consolidated levels, even though Basel standards are designed primarily for the highest level of consolidation. This duplicates buffers, traps capital and liquidity and increases operational complexity.
- EU specific gold-plating through internal MREL, EU-specific buffers, PVA.
- This is exemplified through the recent US Basel proposals which move towards a more risk-sensitive and less punitive direction: CET1 capital requirements would fall for all categories of US banks, the securitisation P-factor would remain at 0.5, the securitisation floor would fall from 20% to 15%, mortgage treatment would become more granular and less distortive, and the framework explicitly aims to improve credit availability and long-term strategic planning. By contrast, EU banks still face a



framework that is not only heavier, but often less risk-sensitive in business lines where Europe should be competitive.

- Prudential requirements that are not fit for the characteristics of EU lending. Examples include: specialised lending where project and object finance are subject to an LGD input floor that is above their actual loss rates and risk profiles. Trade finance faces similar distortions: conservative credit conversion factors, insufficient recognition of short maturities and imperfect treatment of hedging and diversification make low-loss, short-tenor activities more capital-intensive than their risk profile warrants.
- In leasing, the prudential framework does not properly recognise that the lender remains owner of the financed asset, so the value of the underlying equipment is not adequately reflected in capital requirements; in factoring, very short-dated buyer risk is not treated with the same maturity sensitivity as short-term bank exposures.

Q26. What factors are constraining the ability of EU banks to finance large-scale projects, including in the areas of digitalisation, climate transition and defence, compared to their international peers? In particular, to what extent do differences in profitability, cost structures, balance-sheet capacity, risk-appetite, scale, or regulatory and market conditions explain any observed gaps?

The Commission should explicitly stipulate in the Defence Omnibus Package that investments in the European security and defence industry are basically considered sustainable within the meaning of EU ESG regulations. Subsequently, the competent supervisory authorities should incorporate these clarifications in their legal acts.

Consequently, these supervisory acts should also clarify that in the course of the SREP banks that finance European defence and security companies should not be confronted with potential supervisory measures (e.g. capital surcharges) due to a lack of sustainability of these investments.

Furthermore, transactions with arms related to national defence should no longer be classified as transactions with a potentially higher risk of ML/TF as is currently the case according to Annex III(2)(e) of the EU Anti-Money Laundering Regulation. This classification means that credit institutions have to carry out additional and costly due diligence measures based on a risk-based approach. This due diligence includes, in particular, risk analysis and ongoing monitoring and documentation requirements which is detrimental to the promotion of financing for these transactions.

If the production of defence-related weapons and security systems takes place predominantly within the EU and for the Member States, the CRR should provide for – similar to SME financing in the form of the ‘SME factor’ – favourable own funds requirements for bank financing through lower risk weights via a ‘defence supporting factor’. This measure would, on the one hand, lead to more favourable conditions for the security and defence industry to access financing and, on the other hand, also provide an incentive for banks to provide the necessary financial resources.

1.6. Digitalisation

Q27. What are, in your view, the effects of digitalisation on the activities and business model of EU banks in the single market?

Digitalisation is fundamentally reshaping the activities and business models of EU banks in the single market, creating both significant opportunities and material challenges. Digital channels and automation improve efficiency, scalability and customer reach, while data-driven processes enable more personalised products, faster credit decisions and improved risk management. Digitalisation is also cutting off the initial client contact of regulated EU financial service entities. Instead of using its bank app, a EU citizen will in the near



future use a Gen IA model to ask for financial and investment advice, meaning that the algorithm of the AI engine is sending the client to a particular (not regulated) company within or outside the EU (not being his own bank or broker).

Business models based on intensified digitalisation tend toward a winner-takes-all approach due to high scalability, thereby intensifying competition. FinTechs, BigTechs and platform-based providers increasingly compete with banks for the customer interface, particularly through embedded finance models. This puts pressure on margins and risks eroding banks' direct client relationships if banks are reduced to pure (payment) infrastructure or balance sheet providers.

The digital Euro, as well as other digital currencies, are attractive for Big Techs and can have an impact on the EU monetary system and financial stability of the EU, including the strongly regulated banks. This is especially the case when the holding limit is set at a level where the maturity transformation or the money creation function of the banks in the current monetary system is undermined.

Digitalisation also increases operational and cyber risks and requires substantial upfront investment in IT, security and compliance. As a result, banks' business models increasingly depend on scale, cooperation and ecosystem strategies to remain competitive while safeguarding financial stability.

Finally, the overall digitalisation trend puts the issue of financial inclusion to the forefront. While digitalisation can offer opportunities to increase financial inclusion (increased reach, easier access), it can also create new issues as a result of the digital divide (those not able or not wanting to go digital) e.g. face to face and personalized services becoming less available or having to become more expensive, availability of cash reducing or becoming more expensive, increased cherry picking, leaving commercially less interesting clients underserved.

Q28. In the context of the increasing digitalisation of financial services, what do you consider could enhance confidence of clients in digitally provided investment products and services, thereby influencing the dynamic of new business models?

Client confidence in digitally provided investment products and services is a key prerequisite for the successful scaling of new digital business models in the EU banking market. Several factors are particularly important in this context.

First, transparency and simplicity are essential. Clear, comparable and easily understandable product information, including costs, risks and performance, strengthens trust and reduces perceived complexity in digital investment decisions. Consistent disclosure standards and user-friendly digital interfaces play a central role.

Second, data protection, cybersecurity and operational resilience are critical trust drivers. Clients expect high standards in safeguarding personal and financial data, reliable digital infrastructures and robust protection against fraud and cyber risks. Visible compliance with EU security and resilience frameworks supports confidence.

Third, financial education and hybrid advisory models can enhance confidence. Digital tools combined with access to professional advice, where needed, help clients better understand investment decisions and risks. Strengthening these elements would support trust in digital investment services and foster sustainable innovation in the single market.

Q29. Are EU banks investing enough in digitalisation of their operations and services, including in comparison with their international peers and with other EU business sectors? Please explain, in particular in case the answer is 'No'.

No. EU banks are investing significantly in the digitalisation of their operations and services. Digitalisation represents a substantial and recurring part of banks' cost base, covering core banking systems, payment



infrastructures, cybersecurity, data governance and regulatory compliance. However, comparisons with international technology firms should take into account structural differences in business models and financial capacity. EU banks operate under capital, liquidity and conduct requirements that materially constrain their ability to allocate resources to discretionary R&D. **A substantial share of financial and human resources is currently tied up in implementing an increasingly complex regulatory framework.** Large parts of banks' IT and digital budgets are dedicated to mandatory compliance-driven projects—such as reporting, data governance, operational resilience and supervisory requirements—which are necessary but do not primarily enhance productivity, innovation or customer experience. This significantly reduces banks' discretionary capacity for far-reaching digital transformation compared to international peers and other EU business sectors. In addition, the deduction of software assets from CET1 remain a peculiarity of EU regulation (which should be removed, acknowledging that digital investments are strategic for European banks). As a result, EU banks have less room to invest in advanced digital technologies such as automation, data analytics and artificial intelligence at scale.

By contrast, global technology firms benefit from highly scalable, data-driven business models, global market reach and substantially larger R&D budgets, supported by higher margins and lower regulatory capital constraints. This structural asymmetry limits the extent to which EU banks can match the pace and scale of digital investment of such players.

Frequent regulatory changes, high compliance costs and lower profitability further constrain long-term digital investment planning. **While safeguards for trust and stability are essential, a more proportionate and stable regulatory approach would free up resources and allow banks to invest more decisively in digital innovation, productivity gains and competitiveness within the single market.**

The issue is less whether EU banks are investing in digitalisation, and more whether the current regulatory and competitive framework allows these investments to translate effectively into innovation, scalability and international competitiveness.

Q30. Do you expect in the near future the emergence of significant new players in the provision of financial services within the EU, such as non-financial conglomerates, FinTechs, or BigTech companies? If yes, what would this mean for traditional banks? If yes, what would be the impact on households and businesses?

Yes, the emergence of significant new players in the provision of financial services in the EU—particularly FinTechs, BigTech companies and non-financial platforms—is expected to continue and intensify in the near future. With the digital euro, it will be facilitated the access to the European payments market to Bigtechs.

Digitalisation and embedded finance models lower market entry barriers and allow non-bank actors to scale rapidly, especially in payments, consumer finance, investments and SME services. It enables them to seek parts in the value chain that are profitable, without having to bear the cost of essential services that are serving all citizens in the EU, like offering a well and safe functioning national and EU payment infrastructure - cash, ATM, instant payments, deposit taking - and screening clients and transactions for Anti Money Laundering and terrorist financing and helping clients that are a victim of financial crime.

For traditional banks, this development increases competitive pressure on margins and customer relationships. There is a growing risk that banks are pushed towards back-end or balance sheet roles, while platforms control the customer interface and data. At the same time, banks retain key advantages in trust, regulation, risk management and long-term client relationships, which can be leveraged through partnerships and ecosystem strategies.

Overall, **the impact will depend on ensuring a level playing field, proportionate regulation and effective oversight, so that innovation enhances competition and efficiency without undermining trust, financial stability or long-term access to finance in the EU.**



Several reports⁽⁸⁾ highlight that the expansion of Big Tech firms into financial services may entail significant risks for financial stability. Their increasing presence — notably in non-bank lending, whether directly or through distribution channels, and often in combination with payments, asset management, or crypto-related activities — could create new contagion channels, reflecting their strong interconnectedness with both the financial system and the broader economy.

Against this backdrop, the current regulatory framework exhibits two major shortcomings:

- Incomplete supervision: existing prudential consolidation frameworks can be bypassed by groups whose primary activities remain non-financial. As a result, fragmented organisational structures may hinder supervisors' ability to form a comprehensive view of group-wide risks and interdependencies.
- Regulatory arbitrage in lending: the absence of a harmonised EU framework for credit provision allows activities to migrate towards less stringent jurisdictions, a risk further amplified by the digital nature of these business models.

Addressing these gaps calls for more robust and consistent regulatory action along two key lines:

- Strengthening and harmonising sectoral rules governing the areas in which Big Tech firms are expanding:
 - introducing consolidated prudential requirements for payment and e-money activities, to ensure supervisors have access to reliable and up-to-date information at the European level;
 - establishing a harmonised EU framework for non-bank lending — currently fragmented across national regimes — in order to enhance the resilience of these institutions and reduce opportunities for regulatory arbitrage within groups.
- Ensuring effective supervision at group level: requiring mixed-activity groups to ring-fence and consolidate their material financial activities within a dedicated structure, thereby enabling proper consolidated supervision. Where the scale and nature of these activities generate risks comparable to those of credit institutions, the relevant banking rules should apply to the entire financial subgroup.

Given the pace of market developments, these recommendations should be taken forward by the European Commission without delay.

Q31. How should the bank regulatory framework and supervisory practice adapt to the changes in the banking sector triggered by digitalisation?

The bank regulatory framework and supervisory practice should adapt to digitalisation by becoming less interventionist (FIDA), more risk-based, proportionate and technologically neutral, while preserving high standards of financial stability and consumer protection. Regulation should focus on the actual risks arising from digital activities—such as cyber risk, operational resilience, data governance and outsourcing—rather than on the technology or services themselves. Unnecessary overlaps, such as between the Cyber Resilience Act and DORA, should be avoided.

Supervisory practice already places greater emphasis on operational and digital resilience, including IT security, cloud dependencies and third-party risk management, and should avoid duplicative or overly

⁸ For example :

-AEFR, April 2024, The development of Big techs companies in finance ;; opportunities or threats ? What response from the Authorities ?

- ACPR, Octobre 2024, Le développement des *big techs* dans le secteur financier : quels risques, quelles réponses réglementaires ?



prescriptive requirements that absorb resources without reducing risk. Proportionality is particularly important to ensure that cooperative banks can implement digital requirements in a cost-effective manner.

Regulation should also better accommodate innovation by enabling experimentation within clear guardrails, for example, through consistent EU-wide supervisory approaches and simplified authorisation processes for digital services. At the same time, activity based regulation should ensure that similar digital financial services are subject to comparable requirements across banks, FinTechs and BigTechs, preserving a level playing field.

Finally, closer supervisory coordination, improved digital reporting interfaces and greater use of supervisory technology (SupTech) would enhance efficiency for both banks and authorities and support a digitally enabled single market.

Digital public initiatives must be carefully designed to avoid crowding out or cannibalising well-functioning private-sector solutions. Where public digital infrastructures or instruments are introduced, they should complement – not substitute – market-based financial intermediation. Preserving banks' role in customer relationships, deposit intermediation, and payment services is essential to maintaining financial stability, funding capacity, and incentives for continued private investment in digital innovation.

In addition, we would highlight the attention on a point regarding DORA: the regulatory framework should acknowledge the structural asymmetry in bargaining power between EU banks and large global ICT providers. In practice, many DORA-related contractual expectations are extremely difficult, and in some cases impossible, for individual banks to negotiate with major cloud and technology providers whose terms are largely standardised and non-negotiable. This creates a disproportionate outcome: banks remain fully accountable for compliance with operational resilience and outsourcing requirements, while lacking the contractual leverage to obtain corresponding commitments from critical providers. A more realistic and proportionate framework should therefore take into account market concentration in the ICT supply chain and avoid placing the entire compliance burden on regulated financial entities where effective negotiation is not possible.

The single market and the banking union

2.1. The impact of prudential requirements on market integration

Q32. What are the benefits and the limitations of the current regulatory framework in terms of capital and liquidity requirements allocation within a banking group? What are the main concerns with the possibility to manage capital and liquidity at group level?

The benefits for banking groups are related to the waivers that can be obtained for certain reporting requirements, as well as for Large Exposure rules, such as on a solo basis of the ultimate parent towards group subsidiaries, and other requirements for solo prudential requirements (articles 7, 8, 113(6) CRR). However, they require separate approvals. In addition, the waivers should be expanded for cross-border exposures across Member States, and applied for solo subsidiaries in other Member States rather than just waiving solo requirements for the ultimate parent or its subsidiaries in the same Member State.

In addition to the limitations, a full (100%) subsidiary with a banking license within the same Member States still has separate capital and reporting requirements, ICAAP requirements, stress testing, etc., while they are also part of the group reporting and capital adequacy assessment and supervision on a consolidated basis. In many cases this does not add value, especially when risks, like interest rate and liquidity risks, are managed centrally at the ultimate parent, for example via matched funding rather than managed at the level of individual subsidiaries. Excessive capitalisation and liquidity buffers at the subsidiary level also bear the risk of creating vulnerability within the group, as it reduces flexibility to deploy liquidity and capital within the group.



Q33. What are your views regarding the most efficient way of applying prudential requirements within EU cross-border banking groups? Please explain and, if possible, indicate if the most efficient way of applying prudential requirements differs per requirement (e.g. Liquidity Coverage Ratio, Net Stable Funding Ratio, capital, minimum requirement for own funds and eligible liabilities (MREL)).

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Continue the current approach where prudential requirements are applied, as a rule, at both the consolidated level and at the level of every legal entity				X		
Prudential requirements should only be applied at highest EU consolidated level of the banking group	X					
Ensure adequate prudential requirements at the level of legal entities, while ensuring more flexibility in centrally managing resources at group level, with commensurate safeguards for financial stability risks				X		
Other (please indicate)						

Currently, waivers are possible for an institution that is part of the group and located in the same Member State as the parent institution. Since the introduction of the SSM, it would make sense to broaden these waivers to institutions located in at least the Eurozone Member States, but arguably the broader European Economic Area (EEA). It's at least something that should be reflected on to achieve further EU banking consolidation.

Ensuring more flexibility in centrally managing resources at the group level, with commensurate safeguards for financial stability risks, is most important.

Q34. What regulatory measures could facilitate or improve efficiency for cross-border EU banking groups? What safeguards would be necessary to preserve resilience and resolvability, and provide reassurance to all relevant Member States in case of distress/failure?

This strongly depends on the operating model of the bank. For banking groups with an operating model in which risks remain and are managed locally at the entity level, it makes sense to continue applying supervision and requirements at the individual entity level – unless the relevant waiver has been provided in addition to the ultimate parent level. Within banking groups where risks and funding are managed centrally at the ultimate parent/central level, this entity-level supervision and requirements are redundant and even counterproductive due to the arguments of vulnerability and inflexibility mentioned above. When the current liquidity and capital restrictions (per Member State) are deleted from regulation (potentially first for SSM supervised banks), a more centrally managed operating model will reduce operating and funding costs and therefore will become the preferred model for most (SSM) banks.

However, from a host (subsidiary level) jurisdiction perspective, we understand that letting go of pre-positioned capital and liquidity within the subsidiary and entity level supervision requires a degree of trust in



the home-state supervisor of the parent (within the Banking Union often the ECB being in the lead). These concerns can be overcome with appropriate (SSM) supervision and centralised requirements.

2.2. Market consolidation

Q35. Do you consider that the EU economy benefits from the presence of large, cross-border banks active across the single market?

The EU economy, in particular in the international context, benefits from the presence of large European cross-border banks. But that is only one side of the coin and, in a way, the tone of the question is surprising and one-sided, not least because during the last financial crisis it was precisely the locally anchored cooperative banks that acted as a guarantor of stability. Excessive concentration in the banking sector should therefore, in principle, be avoided.

The decentralised economy across Europe, in which around 99% of all businesses belong to the small and medium-sized enterprise sector, thrives on a credit industry that is equally decentralised and rooted in the region. It must therefore be recognised that all institutions play a vital role in the European economy; consequently, both large and small and medium sized banks should benefit from appropriate acknowledgement. The continued existence of small and medium sized local lenders must be safeguarded and promoted, and appropriate regulations implementing risk-based measures appear to be urgently needed, particularly in light of this consideration.

Q36. The Draghi report argues that banks need scale to be competitive. Is market consolidation a good way forward to achieve scale in the banking industry? Which actions should be taken at EU level to facilitate EU banking groups wishing to operate cross-border to do so?

The argument put forward in the Draghi report specifically addresses one side of the issue, in the broader context of scaling up of the EU economy and the creation of so-called European champions.

It does not imply that banks of different sizes cannot compete effectively in the financial market. This is particularly true when considering the fragmented nature of the banking market in countries such as Germany, Austria, or even Italy, which clearly points to the fact that successful institutions can operate at different scales, on the backdrop of appropriate operational and risk-based arrangements. For further details, please refer to the answer to Q.35.

2.3. Non-prudential barriers to market integration

Q37. What are the main non-prudential barriers that impede cross-border activities?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Divergent national tax treatment attached to certain banking products (mortgages, savings accounts, deposits) or banking operations (Value Added Tax, corporate and personal income taxation)	X					



More generally, lack of unified banking product offering across EU or sub-regions, forcing product adaptation to each national market	X					
Labour laws and contract laws hindering the servicing of EU bank clients in a Member State by a branch/entity located in another Member State.			X			
Preference by local customers of local bank brands		X				
Divergent insolvency laws and collateral foreclosure rules	X					
Consumer protection laws and client specific documentation		X				
Divergent (non-prudential) reporting requirements	X					
Language barriers	X					
Other (please indicate)						

In most EU countries, financial institutions do not pay Value Added Tax (VAT) on their sales (VAT exemptions). Consequently, they are not entitled to 100% input tax recovery. This puts them in an unequal position compared to Fintechs, banks in non-EU countries and compared to cases in EU countries that allow banks to charge VAT on their financial products ('option to tax'): those parties are allowed to recover input VAT paid.

This VAT issue mainly relates to payment services. As such, the current EU VAT system with its exemptions for financial services is properly functioning, even though the VAT exemptions result in limited VAT recovery possibilities for banks.

A level playing field for the VAT treatment of payment services could easily be achieved by applying the 'option to tax' in all EU Member States. In such a situation, banks would be able to recover input VAT paid for payment systems. To the extent that this will require state budget in order to fund VAT recovery for banks, this should not be sought in new taxes like a Financial Transaction Tax (FTT) or Financial Activity Tax (FAT).

Since few months, FTT and FAT have been often mentioned as possible building blocks for a future framework for the EU's financial sector. The banking sector has objections against these new taxes:

- Just like bank levies, the burden of a FTT or FAT is not dependent on profitability: a high tax burden can exist in years in which losses are incurred.
- An FTT can result in a relocation of stock trading to non-EU countries; this would affect both business and state budget.

On bank levies, it is peculiar to levy a specific tax on banks. There are no similar taxes on other economic operators, in addition to corporate income taxes. Besides, there is a lack of uniformity and harmonisation of bank levies, and bank levies are not dependent on profitability: a high tax burden can occur even in years when losses are incurred.



On another note, given their business model, banks should not be confronted with interest deduction limitations, not in the form of an earnings stripping rule nor via compensating measures like thin cap rules (as in the Netherlands).

Finally, persistent divergences in national insolvency regimes, civil and securities law, as well as differences in contract enforcement and collateral realisation frameworks, increase legal uncertainty and compliance costs for cross-border activities. These legal and regulatory frictions are compounded by language barriers, cultural factors and local market specificities, which can require banks to adapt products, documentation and client interfaces to each jurisdiction. Taken together, these factors reduce the provision of banking services across the Single Market, can discourage cross-border provision of certain products, and contribute to continued segmentation, despite a largely harmonised prudential framework.

On the other hand, it must simply be acknowledged that banking markets within the European Union are very adequately served by existing providers.

2.4. Protection of depositors

Q38. To what extent would further strengthening the protection of depositors provide reassurance on the stability and effectiveness of the EU crisis management framework and its ability to shield EU taxpayer money and therefore support the competitiveness and integration of banking markets?

<i>To a very large extent</i>	<i>To a large extent</i>	<i>Neutral</i>	<i>To a small extent</i>	<i>Not at all</i>	<i>No opinion</i>
				X	

The 2014 DGSD and its further development within the framework of CMDI, including the review just concluded, have already harmonised deposit protection in Europe to a high degree. The current framework properly accounts for existing and stabilising national specificities, such as Institutional Protection Schemes (IPS), and provides a very stable basis for deposit protection in Europe. Cases in recent years have proven that the existing system of deposit protection functions effectively, protects taxpayers' money, and ensures customers' confidence.

With regard to CMDI, the latest set of reforms has already introduced substantial changes to the crisis management framework and to the role of deposit guarantee schemes. The effects of the revised framework have not yet been tested in practice and therefore currently do not provide a suitable basis for assessing its effectiveness or complexity.

Prematurely reopening the architecture risks regulatory instability and reform fatigue. **Any additional strengthening of depositor protection should be based on demonstrated need and evidence from implementation, rather than on the assumption that deeper institutional integration is in itself a competitiveness tool.**

Q39. In your view, could the system be simplified and made more effective by combining the deposit insurance and resolution functions within existing funds? Would there be any unintended consequences?

We are strongly opposed to merging deposit insurance and resolution functions into a single authority.

Resources from the resolution fund and from the deposit protection fund are structured differently and pursue completely different goals. Resolution primarily seeks to ensure the continuity of the institution's critical



functions and thereby to prevent market disruption. Deposit guarantee schemes, by contrast, are designed to protect (particularly retail) deposits and to prevent bank runs (consumer protection).

Simplification efforts should prioritise clearer allocation of responsibilities, consistent implementation, and supervisory convergence rather than institutional consolidation of distinct mandates.

Moreover, the current framework has recently been revised through CMDI, clarifying the interaction between DGS and resolution authorities and expanding the toolkit available in crisis situations. Indeed, the CMDI already foresees a combination of deposit insurance and resolution functions within existing funds by the "bridge the gap" mechanism. **The use of national DGS funds for union-wide resolution should be avoided.**

Q40. In your view, when considering the scope of banks to be included in a possible new banking union- wide deposit insurance system, should this scope include...

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
...all banks					X	
...all banks which are active cross-border					X	
...all banks under direct SSM/SRB remit					X	
...only banks that wish to be included	X					
...other						

The current framework, based on national DGSs operating under harmonised EU rules and taking into account the effectiveness of recognised IPS, has recently been strengthened through the CMDI reform. At this stage, it does not exhibit structural deficiencies that would justify a fundamental redesign.

Before considering the introduction of a European-wide deposit insurance system, key preconditions for financial stability must be addressed, notably further progress in reducing the sovereign-bank nexus and home bias. In addition, without a clearly established public backstop anchored in primary law, the credibility of a European scheme would remain uncertain. This could weaken depositor confidence and potentially amplify cross-border contagion in times of financial stress.

That said, should a common political will emerge to establish such a scheme, certain safeguards would be essential. Deposit insurance should remain primarily a national responsibility. If a banking union-wide mechanism were nevertheless introduced, its role should be limited to providing liquidity support to national DGS, with any such support being fully repaid. In addition, banks that are members of an IPS should either be exempted or only participate on a voluntary basis.

Q41. In your view, a possible new banking union-wide deposit protection fund should...

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
... be used to provide only liquidity support to national DGS		X				



...replace national DGSs					X	
...replace national DGSs for deposits in a subset of banks as identified in the previous question					X	
...other						

In this context, it is essential to recognise the effectiveness of existing national DGSs and IPSs. These frameworks have proven their ability to reduce risk among their members and must not be impaired or weakened by the introduction of a European system. On the contrary, these well-functioning national structures form the foundation of trust and financial stability. Preserving diversity within the European financial system is therefore crucial and should not be undermined by a centralisation of deposit insurance.

Against this background, if any European scheme were to be considered, it should be limited to banks that choose to participate on a voluntary basis. Its scope of protection should be defined only once the structure of participation is clearly established.

At the same time, it is important to acknowledge that the main operational vulnerability in crisis situations relates to temporary liquidity constraints rather than deficiencies in loss-absorption capacity. Should future evidence justify additional safeguards, a European-level mechanism could be envisaged solely to provide temporary liquidity support to participating national DGSs. Such support should be strictly limited in scope and fully repaid.

2.5. Liquidity in resolution

Q42. In your view, would a more transparent and predictable European mechanism ensuring the provision of liquidity in resolution to large banks in distressed scenarios strengthen the effectiveness and credibility of the European crisis management framework? How could it affect the bank-sovereign nexus and the reliance on national taxpayer-funded resources in a crisis?

Yes. The absence of a credible, predictable EU-level liquidity-in-resolution mechanism is a major structural weakness and a key source of undue complexity. Most orderly resolutions require substantial external liquidity, yet the EU framework lacks harmonised, operational conditions for temporary public liquidity support. This uncertainty undermines resolvability, fragments the framework, and weakens confidence in cross-border resolution and increases the risk of the bank-sovereign nexus and reliance on national taxpayer funded resources in a crisis.

A clear distinction between solvency support and temporary liquidity is essential. Once losses have been imposed and a bank is credibly resolved, access to appropriately-priced temporary public liquidity should be defined consistently across the EU. Current tools—the SRF and the not-yet-fully-operational ESM backstop—are insufficient relative to liquidity needs observed in recent crises.

Q43. Do you consider that introducing a formal transparent mechanism to provide liquidity in resolution can provide reassurance on the stability and effectiveness of the crisis management framework and therefore support the integration of banking markets? If yes, what do you consider to be the desirable features of such mechanism?

Yes. A transparent European mechanism, similar in function to U.S. arrangements, would reduce reliance on national solutions, mitigate the bank-sovereign nexus, and greatly enhance the credibility of the EU's crisis



management framework. Within such a structure, the ECB should be able to act as lender of last resort to solvent institutions emerging from resolution, subject to appropriate safeguards. The mechanism could be an unlimited repayable liquidity backstop comparable to Emergency Liquidity Assistance (ELA). The same could apply to national deposit guarantee schemes (DGSs) in difficulties.

2.6. Sovereign exposures and risk reduction

Q44. To what extent do you consider the following factors as significant drivers for the 'home-bias' (i.e. banks' disproportionate exposures to their home sovereign)?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Application of prudential requirements at solo level		X				
Other (prudential) rules		X				
Limited cross-border financial integration		X				
Role in market-making for home sovereign debt						X
Business model considerations (aligning assets with domestic activity)		X				
Government pressures to invest in the local sovereign bond market		X				
Expectations of public support			X			
Investment in home sovereign debt perceived as safe and highly liquid asset		X				
Insufficient access or supply of other governments' debt fitting the risk-appetite of the bank.		X				
Other (please specify)						

Q45. Do you consider that the EU framework on the regulatory treatment of sovereign exposure should be improved? If yes, how should this be done, and how would it affect the holdings of sovereign debt by banks?

As the long-standing discussions in the past have shown, there will be no quick solution to this issue, and it should therefore not be part of the current debate on increasing competitiveness – especially when the matter would need to be settled for sovereign exposures globally and not just for EU banks, also to avoid any unbalanced drying up in the depth and liquidity of EU markets, and/or affecting the level playing field for EU countries' fiscal capacity.



Q46. Exposures to Member States' central governments, or third country jurisdictions assessed as equivalent, when denominated and funded in domestic currency, receive a 0% risk weight under the Capital Requirements Regulation, as provided for by the international standards. Such 0% risk weight applies regardless of credit rating, exempts the sovereign bonds from large exposure requirements, and classifies them as high-quality liquid assets. However, this treatment does not apply to sovereign exposures denominated in Euro issued by non-Euro Area Member States. Should that treatment be expanded to sovereign exposures issued by non-Euro Area Member States and denominated in Euro and how would this affect the holdings of sovereign debt by banks? Please elaborate.

As the long-standing discussions in the past have shown, there will be no quick solution to this issue, and it should therefore not be part of the current debate on increasing competitiveness – especially when the matter would need to be settled for sovereign exposures globally and not just for EU banks, also to avoid any unbalanced drying up in the depth and liquidity of EU markets, and/or affecting the level playing field for EU countries' fiscal capacity.

3. Complexity and effectiveness of the regulatory framework

3.1. General assessment

Q47. How would you evaluate the current regulatory framework for banking in terms of:

	Low	Somewhat low	Medium	Somewhat high	High	No opinion
... effectiveness (the extent to which the framework achieved its objectives)			X			
... proportionality (the extent to which the objectives of the framework are achieved at minimal cost)	X					
...EU added value (extent to which EU intervention provides benefits that could not be achieved by Member States acting alone)					X	
...relevance (extent to which EU intervention provides benefits that could not be achieved by Member States acting alone)				X		
...coherence (extent to which a policy/intervention is internally consistent and externally consistent with other EU policies)		X				

The EU regulatory framework is excessively complex, not commensurate to the risks actually borne by institutions, and showing multiple overlaps. The use of Level 2 and 3 texts should be limited to details of the implementation where needed, with a strict ex ante oversight by the European Commission (notably for



EBA/ESMA Guidelines and SSM/SRM Guidance) to make sure that the mandates given in the Level 1 text are not exceeded and an effective ex post control.

The always-increasing number and granularity of Level 2 and Level 3 texts raise questions on the real responsibilities of the ESAs and the SSM (and sometimes the SRB). Their use of soft law gives them de facto a dimension of obligation which can exceed the provisions foreseen in the EU legal framework.

Q48. A certain degree of complexity is necessary to achieve the desired regulatory objectives, while recognising the degree of sophistication and diversity of the EU banking sector. How do you rank the comparative level of undue complexity in the following parts of the framework?

	Low	Somewhat low	Medium	Somewhat high	High	No opinion
...the overall framework					X	
...the minimum capital requirements (Pillar 1)				X		
...the supervisory measures (Pillar 2)					X	
...the macroprudential requirements					X	
...the resolution requirements					X	
Other						

The current level of complexity is the result of years of legislative density, management of technical details, supervisory expectations, and parallel processes. Complexity usually arises from the accumulation of different levels of regulation and procedures. This impairs EU banks' international competitiveness. Complex regulations also place excessive structural demands, and lending is shifting to less regulated areas of the non-banking sector. We advocate for a shift from rules-based legislation to principles-based guidance, following the Basel framework's example.

In particular, the EU's capital requirements framework, marked by its complexity and perceived opacity regarding future buffer developments, necessitates that EU banks maintain higher capital ratios than would be required. The components taken individually are rather complex (own funds, RWAs, Pillar 2 add-ons macroprudential framework, MDA, MREL...). When combined, they form an excessively complex framework as a whole. Furthermore, the implementation at the national level introduces an additional layer of complexity in the EU framework.

We believe that regulation can be simplified without hampering financial stability. For example, capital stacks could be adjusted to ensure clarity and avoid overlaps, redundancies and inconsistencies within the framework. Similarly, the resolution requirements are overly burdensome, especially given the cost of being operationally ready at all times in the extremely remote event that resilience banks fail or are likely to fail. A more risk-based approach would be welcome here.



Q49. Which type of instrument adds the most undue complexity to these parts of the frameworks?

	Low	Somewhat low	Medium	Somewhat high	High	No opinion
International standards (Basel, FSB)				X		
Level 1 EU legislation (i.e. regulation/directives)				X		
Level 2 EU legislation (i.e. technical standards)					X	
Level 3 EU measures (i.e. EBA guidelines, Q&As, etc.)					X	
Supervisory guidance/practices					X	
Implementation differences of EU legislation at national level				X		
Interaction with other national legislation				X		
Interaction with other EU legislation				X		
Other						

Especially the rule-based elements in the Level 2 and 3 legislations, including supervisory guidance/practices and soft-law instruments (e.g., EBA reports), complicate the EU single rulebook. It requires a significant amount of staff to comply with these regulations and to demonstrate to the banking supervisor that the bank is compliant in all its details. It also requires a significant amount of staff, effort and time from the supervisors to assess whether banks comply, and from regulators (EBA) to design their rules. Simplification, by reducing the amount of level 2 and 3 regulation and supervisory guidance/practices, would help here.

In some cases, we notice that interactions with other EU legislation significantly complicate matters, such as the specific requirements Spain plans to enforce on payment data.

Q50. Would you support less complexity in the bank regulatory framework even if this means...

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
...less risk sensitivity within risk-weighted requirements				X		
...increase in capital requirements					X	
...less consideration for EU specificities				X		
...less consideration for				X		



national specificities						
...higher contributions to safety nets (DGS and resolution funds)				X		
...less resilience/ financial stability			X			

The trade-offs outlined in the table are misleading, as simplification can be implemented effectively without harming financial stability. Indeed, as clearly stated in our contribution to this consultation, different areas of prudential regulation should be amended to eliminate overlaps, unnecessary complexity, and EU gold-plating. Among others: macroprudential buffers (see Q.52 and Section 3.3), reporting (see Section 3.8), supervision (see Q.32, Q. 34, Q.54, Q. 55, among others) and resolution (see Q.20 and Section 3.4).

To safeguard competitiveness, the immobilisation of capital and liquidity resources must remain proportionate to the risks incurred and be firmly anchored in institutions' actual risk experience. The implementation of CRR3 already reduces risk sensitivity. Making transitional measures permanent, notably for real estate exposures and low-default portfolios, would help offset this effect, better capture genuine risks, and release resources to finance sectors that are essential to European competitiveness.

At the same time, the legislator should focus on eliminating unnecessary overlap, excessive technical details, parallel processes, and double regulation. This is one of the clearest areas where real simplification can be delivered.

Q51. The Single Rulebook for banking is based on both directives and regulations. Unlike regulations, directives must be transposed into national law, which can lead to different applicable legal framework applicable across Member States. In your view, which provisions currently set out in directives, such as the Capital Requirements Directive (CRD), the Bank Recovery and Resolution Directive (BRRD) or the Deposit Guarantee Scheme Directive (DGSD), would be more effectively established through directly applicable regulations, and for what reasons, if any?

The choice between which elements should be included in directly applicable regulations and which should be included in directives should be assessed with care. For example, it makes sense to include governance requirements in a directive, as these would have to be seen in context with the specific elements of national company law. At the same time, capital requirements that may be subject to gold-plating for different interpretations or margins of conservatism of authorities, should be destined to regulations.

Q52. Do you have concrete examples of gold-plating of EU rules via transposition of EU directives, national options and discretions? If so, please list them here.

Unfortunately, gold plating remains a common approach when a range of options is given to the national authorities to moderate the restrictiveness or flexibility of prudential solutions. The effect is amplified by their recommendations and behaviour.

On macroprudential regulation, the most prominent example of EU gold plating is the systemic risk buffer, which has no legal basis in the Basel Standards of the BCBS and was implemented in Article 133 CRD as a European specificity. Due to simplification and competitiveness purposes, the buffer should be removed. The application of the buffer requirements set by the National Competent Authority also shows different approaches among Member States.



Regarding prudential regulation, some Competent Authorities have not published loss data as required by Article 99 and later Article 430a of the CRR since 2014. The absence of historical data obstructs banks from applying credit risk mitigation for income producing real estate, as agreed by the co-legislators.

To make one example, in contrast to other Competent Authorities, the Dutch Competent Authority does not identify any of the Dutch public sector entities towards EBA, and therefore are not included in the list of public sector entities as issued by EBA (art 116(4) CRR). We also note that the EBA list has not been updated since 2021.

FICO Directive 2002/87/EC and Solvency II Directive 2009/138/EC are implemented in a manner that duplicates both reporting and supervision responsibilities. In practice, the NCA may require IGT and RC reporting at FICO level under the Solvency II directive, while the ECB, as the FICO coordinator, receives IGT and RC reporting under the FICO directive 2002/87/EC.

In the context of the Consumer Credit Directive, additional national requirements are related to the regulation of revolving credit and the calculation of the annual percentage rate of insurance (TAEA). Similarly, under the Insurance Distribution Directive, gold-plating can be identified in the interpretation and application of the concept of insurance advice, which, in some jurisdictions, extends beyond the original scope of the EU framework.

As another example, some national regulations (e.g., Germany) require a separate approval by the management body for large exposures, in addition to the CRR requirements regarding large exposures. This creates an additional administrative burden and increased complexity and uncertainty when an institution uses the capital waiver under Art. 7 CRR.

Q53. Do you have concrete examples of excessive government intervention in business decisions of banks? If so, please list them here.

- Nomination of members of the management and supervisory board (requirements on suitability and formal independence);
- Composition of committees (number of formally independent members and chair);
- Provisions on dividends variable remuneration (ECB/EBA urged banks not to pay dividends or variable remuneration during COVID-19 pandemic);
- Implementation of bank taxes to balance the budget of Member States;
- Loan origination (EBA GL on loan origination and monitoring and concerning financing residential and commercial real estates).

Q54. How would you assess the level of enforcement of EU banking rules? How can this be improved?

The multiple competent authorities at the EU and national level, as well as the competent judicial and administrative authorities, already ensure a high level of enforcement. We consider that the enforcement of EU banking rules requires a level of detail that makes the process extremely burdensome. Supervisors follow a rule based framework and expect banks to comply at a very granular level of detail, which increases compliance costs and can be challenging from an IT application perspective.

We also note that while EBA Q&As are not formally regulation, while banking supervisors in their on-sights and investigations often consider them as such. The issue is therefore not insufficient enforcement, but rather the way enforcement is carried out.



EU authorities should ensure stricter discipline against gold-plating, and reinforce supervisory convergence across Member States. At the same time, supervisors should apply the framework in a more risk-based, proportionate, and transparent manner, with greater predictability for institutions and clearer accountability when supervisory expectations exceed or anticipate legislative requirements.

The enforcement of EU banking rules suffers from a structural imbalance between the ECB's normative and decision-making power and the procedural protections available to supervised entities.

First, most binding prudential decisions adopted by the ECB — SREP decisions foremost among them — make in practice application of soft law instruments: EBA guidelines, Q&As, supervisory policy stances, guides, and the ECB's own press communications if relevant (e.g. regarding NPL provisioning). These instruments are rarely explicitly designated as the legal basis for Pillar 2 requirements, but are often referred to by the ECB during the phase preceding the adoption of the SREP decision, functioning in practice as the applicable rule.

However, these instruments suffer from a very limited reviewability, generating a due process deficit: (i) once the P2R decisions are adopted can be challenged, but the non-suspensive character of a request for annulment against a SREP decision deters any challenge, especially since (ii) the CJEU limits its judicial review to its minimum level, carrying out a purely formal control.

Second, the escalation ladder as a mechanism of covert constraint reinforces the lack of balance. While the ECB presents its framework as a proportionate and flexible tool, allowing banks to address shortcomings before more intrusive measures follow, in practice the escalation ladder may limit genuine supervisory dialogue. Once a recommendation is issued, the bank faces a binary choice: comply or face a binding Pillar 2 decision, as the ECB's supervisory measures page illustrates, acknowledging that a recommendation may be converted into a binding requirement if "previous engagements have been unsuccessful" — but remaining silent on how banks may meaningfully challenge the supervisory assessment on which the recommendation rests.

Banks may decide to comply with recommendations not because they accept their legal basis, but because non-compliance triggers a binding Pillar 2 decision, potentially made public, with significant reputational and capital consequences. The use of operational acts illustrates the blurring of binding and non-binding, especially since the 2024 Supervisory Manual defines them as "supervisory measures" lacking a specific legal form. In addition, operational acts may include prudential expectations, statements and other non-binding and non-enforceable acts, and may be followed by a binding decision of identical or similar content. The operational act is thus positioned not as an alternative to a binding measure, but as the step immediately preceding one, and thus outside the right to be heard.

Combined to the current SREP methodology, all these elements make supervision slide toward covert regulation: the SREP becomes an instrument of behavioural standardisation, grounded in relative adequacy rather than an independent appraisal of individual risk profiles.

Third, the ECB's own compilation of the legal framework for banking supervision — Volume I — presents the Statute of the ESCB alongside the SSM Regulation and the SSM Framework Regulation as one of "the fundamentals of the SSM." This framing overstates what Article 25 of the Statute, a provision of primarily institutional scope, can sustain. The exclusive legal basis of the SSM is Article 127(6) TFUE, a conferral of specific supervisory tasks that is distinct from — and deliberately separated from — the ECB's monetary policy powers and the associated institutional independence. Presenting ESCB independence as a foundation for supervisory authority conflates two regimes that the SSM Regulation expressly keeps apart and carries a troubling implication: that the ECB's supervisory decisions, grounded in an independence derived from



monetary policy, are shielded from the kind of scrutiny that other binding administrative EU acts normally attract.

Q55. How would you evaluate the various authorities responsible for banks in terms of:

		Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
... effectiveness (the extent to which authorities identify weaknesses and address them)	Supervisory authority				X		
	Macroprudential authority				X		
	Resolution authority				X		
... risk-based (the extent to which authorities focus on the most material risks in a proportional way)	Supervisory authority					X	
	Macroprudential authority				X		
	Resolution authority					X	
... efficiency (extent to which authorities are reacting timely and are outcome focused)	Supervisory authority					X	
	Macroprudential authority				X		
	Resolution authority						
Other							

We welcome the European Central Bank's recent initiatives aimed at making European banking supervision more efficient, more effective, and more risk-based. These priorities are precisely what one would expect from a supervisor who has done a tremendous job over the past decade in helping European banks become more mature and resilient.

However, while the direction is right, the current proposals do not go far enough. Today's supervisory framework remains excessively prudent, detailed, and intrusive. We miss a genuinely risk based framework that is moving away from a mindset that treats supervisory risk minimisation as the overriding objective. Instead, supervisors should embed in their culture that well-managed, responsible risk taking is essential for economic growth and for banks' long-term viability. The same cultural adjustment in supervision should be visible in the ECB's drive to improve internal efficiency. Higher internal productivity should not, however, result in additional on-site inspections or meetings for banks that have already demonstrated strong fundamentals. Institutions with robust capital positions, solid SREP outcomes, and consistently strong stress-test performance should experience a tangible reduction in supervisory intensity.



The resolution requirements are overly burdensome and too detailed. Experience from the 2008 financial crisis shows that it's good to be prepared, but things never happen as you have envisioned. So, a principle-based approach considering the robustness of the business model institutions, such as cooperative one, should be preferred over too detailed instructions and requirements.

Regarding the macro prudential framework, please consider the comments in the next related session.

Q56. How would you rate the degree of accountability of various authorities responsible for banks?

	Low	Somewhat low	Adequate	Somewhat high	High	No opinion
Supervisory authority	X					
Macroprudential authority	X					
Resolution authority	X					

The degree of accountability of the authorities of the banking sector is low. Significant discretion is given to regulators and supervisors, with low control to verify that their decisions and actions support a fair level playing field and competitiveness. Such weaknesses are illustrated by excessive reliance on Level 2 and Level 3 rules, goldplating related to non-binding law, supervisory overreach, unclear and constantly changing requirements on resolution.

We exhort the legislators to carefully consider introducing a secondary mandate on competitiveness for the ESAs. This should ensure that new mandates do not affect banks without tangible benefits, thereby safeguarding the EU's banking competitiveness.

Q57. Has your institution granted loans where intellectual property (IP) rights (patents, trademarks, designs) were accepted as: stand-alone collateral or collateral only in addition to tangible assets?

Not applicable

Q57.1. If intellectual property rights are not used as stand-alone collateral, please indicate the main reasons:

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Regulatory capital treatment	X					
Valuation uncertainty	X					
Legal enforceability concerns			X			
Internal risk policies				X		
Lack of risk-mitigation instruments	X					
Other (please specify)						

Under the standardised and F-IRB approaches, intangible assets are not recognised as eligible credit risk mitigation techniques. It is necessary to amend the CRR to recognise intangible assets, such as intellectual property rights, as collateral.



Q58. Which of the following EU-level measures would materially increase your institution's willingness to lend against intellectual property assets?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Public guarantees covering part of IP-backed loans	X					
IP collateral protection insurance supported by public schemes		X				
EU-level standardised IP valuation methodologies	X					
Securitisation frameworks for IP-backed loan portfolios	X					
No measure would materially change our current approach					X	

3.2. Prudential framework

Q59. What are the areas that create undue complexity in the prudential framework, if any? What are the ways to reduce undue complexity in the prudential framework without leading to deregulation and undermining financial stability?

The complexity of the EU prudential framework primarily stems from the cumulative build-up of rules over time, overlaps between requirements, and the growing volume and granularity of Level 2 and Level 3 measures. It is further compounded by the difficulty of translating these rules into practice in line with supervisory expectations. Addressing these issues does not require deregulation, but a more coherent, proportionate and disciplined regulatory approach.

A first key source of complexity is the sheer volume of Level 2 and Level 3 measures (RTS, ITS, guidelines and Q&As) which has made it increasingly difficult for institutions to maintain a clear and stable understanding of their obligations. This is particularly problematic where such measures go beyond Level 1 legislation or where outdated guidance remains in place. To address this, greater discipline is needed in the regulatory hierarchy: Level 1 legislation should more clearly define policy choices, Level 2 measures should be limited to essential technical elements, and Level 3 instruments should not introduce new substantive obligations. Clearer mandates for the ESAs and stronger control mechanisms over Level 2 and Level 3 outputs are essential to prevent unnecessary complexity.

A second source of complexity arises from overlaps, redundancies and inconsistencies within the framework. In some cases, the same risk is captured multiple times through different instruments, leading to double-counting and excessive capital requirements. In others, requirements addressing similar risks coexist without being fully aligned, particularly within the macroprudential framework and in the interaction between buffers, capital guidance and other prudential tools. This layering increases costs without necessarily enhancing financial stability. A holistic review of the framework, covering microprudential, macroprudential and resolution rules, is therefore needed to identify and remove overlaps, ensure consistency, and guarantee that each risk is addressed once through the most appropriate instrument.



A third area concerns the reporting and disclosure burden. The high volume of data requests, often duplicative or overlapping across authorities, creates significant operational strain and compliance costs. This should be addressed by streamlining data requirements, eliminating low-value or redundant reporting, and ensuring that supervisors request only information that is strictly necessary.

Complexity is further exacerbated by limited transparency and insufficient coordination between authorities. Unclear supervisory expectations increase implementation costs and uncertainty, while a lack of coordination leads to duplication and inconsistent requests. Improving transparency through clearer communication of supervisory expectations, as well as strengthening coordination among European and national authorities, would enhance predictability and allow banks to make more efficient use of their compliance efforts. For further details please see the [Less is more report](#) on proposals to simplify and improve European rule-making in the financial services sector.

Finally, any simplification effort should be evidence-based and supported by a cost-benefit and competitiveness assessment. Simplification should not be seen as deregulation, but as a means to make the framework more coherent, proportionate and effective, while fully preserving financial stability.

Q60. Does the prudential framework balance sufficiently risk sensitivity and complexity? If not, how should this disequilibrium be addressed?

See above. The complexity is deemed excessive, often failing to achieve genuine risk sensitivity. Most often, this is the result of an overly conservative approach, which disregards the actual risk involved.

For example, despite stronger fundamentals, supervisory intensity has continued to increase. The cumulative operational and administrative burden now impacts efficiency, resource allocation, and the competitiveness of EU banks vis-à-vis other major jurisdictions. Alongside regulatory simplification, Europe should redesign its supervisory model so that intensity is allocated based on actual risk signals. Strong institutions should not be subject to the same level of intrusive oversight as those that reveal weaknesses or higher risk profiles.

In this regard, banks with consistently strong capital and liquidity ratios, strong SREP outcomes and robust stress-test results should benefit, for example, from a lower frequency of meetings, inspections, and information requests. Therefore, the EU co-legislators, the ECB and other supervisory authorities should:

- Embed a risk-based, proportionate, and outcome-focused approach in supervisory practices.
- Reduce the cumulative administrative burden on well-performing institutions without compromising the effectiveness of prudential standards.
- Apply supervisory intensity proportionally, with fewer meetings, inspections and ad hoc requests for consistently strong banks.
- Assess which risk modules can be simplified and coherently develop less burdensome approaches.

Q61. Does the prudential framework strike the right balance between risk-weighted requirements and backstops (output floor, leverage ratio) or Pillar 2 requirements?

No. It would be important that the competent authorities properly assess the interactions between Pillar 1 Requirements and Pillar 2 Requirements (P2R), where material impacts on an institution's capital profile are expected due to relevant changes to the regulatory framework for determining P1R. In particular, the current framework does not specify how supervisors will balance:

- model deficiencies under internal models,
- the Output Floor (OF) constraining the overall capital requirement, and
- the proportionality principle when an institution becomes bound by the OF.



Clearer articulation is needed to avoid double-counting risks, ensure consistency across JSTs, and allow institutions to anticipate supervisory responses when transitioning into OF-bound status.

Q62. Do you think that the leverage ratio framework would need improvement? If yes, do you have any suggestions as to how to improve the leverage ratio framework?

Yes. We propose either excluding or adjusting central bank reserves and specific high-quality sovereign exposures from the Leverage Ratio (LR) exposure measure. This approach aligns with relief offered in other major jurisdictions, such as the UK, which would help level the playing field and reduce disincentives for participation in sovereign bond and money markets.

Furthermore, it's important to highlight a structural double-counting issue within the leverage ratio for both derivatives and Securities Financing Transactions (SFTs). For derivatives, the exposure calculation begins with the accounting value (replacement cost) and subsequently includes a Counterparty Credit Risk (CCR) add-on, without fully recognising the mitigating effects of initial margin or compensation mechanisms. Even in client clearing activities where margins are recognised, the SACCR multiplier does not adequately reflect collateral that genuinely secures the exposure, leading to an overly conservative charge. A similar, though less significant, effect arises for SFTs due to the coexistence of accounting exposure and E*.

Therefore, two changes to the current legislative framework are needed:

- the alpha factor should not be applied to Replacement Cost (RC) for Own Funds (CCR) or for the leverage ratio. Derivatives are recorded at fair value, and thus do not require a model risk uplift. It's crucial to remember that the LR should be non-risk-based and, consequently, should disregard the 1.4 alpha factor.
- the recognition of initial margin for exposure reduction, currently restricted to client cleared derivatives, should be extended to all margined trading activities to ensure consistent treatment across the board.

Finally, reporting should focus on capital and exposure measures. Current reporting requirements include an excessively high amount of irrelevant individual data points.

Q63. Do you think the Pillar 2 Requirement needs to be improved? If yes, do you have any suggestions as to how to improve the Pillar 2 Requirement?

Yes. We believe that the Pillar 2 Requirement (P2R) framework would benefit from targeted improvements, particularly in terms of transparency and consistency.

In its current form, the setting of P2R relies to a significant extent on supervisory judgment, with limited visibility for institutions on how outcomes are derived. Increasing transparency in the SREP process would significantly enhance its effectiveness and credibility. In particular, supervisors should provide clearer explanations of the methodologies, assumptions and key drivers underpinning P2R decisions. This would enable banks to better understand their individual outcomes, identify concrete areas for improvement, and ensure a more consistent interpretation across institutions.

It is equally important that institutions have a clearer understanding of how supervisory authorities assess remediation measures and how these are reflected in the evolution of Pillar 2 requirements over time. Greater visibility on this process would improve incentives for timely and effective remediation and strengthen the link between supervisory findings and capital outcomes.



Furthermore, it must become supervisory practice to ensure that double-counting of individual risks or risk components is prevented. It must also be ensured that calibration is appropriate and risk-sensitive. In addition, the requirements for assessing and, where applicable, setting an individual P2R-LR and P2G-LR seem unnecessary.

Q64. Do you think the Pillar 2 Guidance needs to be improved? If yes, do you have any suggestions as to how to improve the Pillar 2 Guidance?

We would like to reiterate that the EBA should not continue requiring that P2G be held only in CET1. Under the CRD, P2G refers broadly to own funds, which include CET1, AT1 and T2. The legislation contains no specifications regarding the quality of own funds required to meet P2G. The only requirement is that the total amount of own funds be met. Indeed, in contrast to Article 104a CRD (P2R), Article 104b CRD does not specify which type of own funds (CET1, AT1 or T2) must be used to satisfy P2G. Therefore, the EBA's current approach introduces unnecessary inconsistency into the capital stacking order. In our view, coherence would be improved by applying to P2G the same default composition used for P2R, which mirrors the P1 requirements (i.e. T1: 75%, of which 75% CET1). Where necessary, competent authorities may prescribe a different composition for both P2R and P2G under the CRD (e.g. requiring CET1 only). However, such deviations should not be the default, given that Pillar 2 measures are intended to be institution-specific.

In addition, greater transparency should be ensured in setting the level of Pillar 2 Guidance to enhance transparency, predictability, and the underlying methodologies employed in Pillar 2 assessments. The aim is to notably reduce the degree of supervisory discretion involved, ensuring a clearer differentiation from Pillar 1 requirements and other capital buffers, thereby actively avoiding unintended overlaps. Critically, these enhancements in transparency and predictability are to be achieved without resulting in an increase in overall capital requirements for institutions.

Finally, significant reductions in workload need to be achieved. This can be done, for example, with longer supervisory cycles and top-down solutions. The requirement in Article 100(1) of the CRD that supervisory stress tests be conducted 'at least annually' should be deleted. It is already inconsistent with the EBA Guidelines on the SREP (EBA/GL/2022/03 and EBA/CP/2025/21), which stipulate that institutions in categories 3 and 4 should carry out all SREP elements only once every three years (in some cases, this may be extended to five years).

Q65. What determines the level of the management buffer? How much does the management buffer weigh in the overall capital set aside by banks? Do you think there are unwarranted pressures to set such a buffer, if yes do you have any suggestions that would help reduce undue external incentives to set management buffers?

The management buffer is not set mechanically, but follows from the overall CET1 ratio target. However, an appropriate management buffer is taken into account when setting the overall CET1 ratio target. The target is based on regulatory requirements and stakeholders' and peers' expectations, where targets and management buffer are challenged with the outcomes of the sensitivity analyses and stress testing. The management buffer is an important part of the overall capital set aside by the bank and is available for uncertainty surrounding the projection, facilitating transition periods for (business) strategy, distributions and other uses in line with the strategy. We don't feel unwarranted pressure to set such buffer. In order to reduce potentially unjustified pressures and overlaps, the transparency of the calibration of the different layers of regulatory capital requirements, their interaction and their use should be improved.



Q66. Are, in your view, the various elements of the framework aimed at reducing NPLs working as intended?

The NPE backstop is a tool that was put in place when NPL ratios were a major concern for European banks. This is no longer the case for many EU banks, and this provision, as it currently exists, is no longer warranted and should be removed.

The **Non-Performing Exposure (NPE) backstop** indeed was introduced to strengthen financial stability and address past asset quality issues. However, EU banks have significantly improved their balance sheets, with NPE ratios now very low and stable, averaging around **1.5% at the end of 2025**. Given this progress, the backstop now imposes an unnecessary complexity and capital burden on EU financial institutions. Therefore, we support removing this NPL backstop in a (current) context where it is no longer necessary.

It is worth noting that the United Kingdom fully removed its NPE backstop requirement on November 14, 2023. This action removed a prior competitive disadvantage, thereby levelling the playing field for UK banks regarding this specific prudential treatment.

When removing the Pillar 1 NPL backstop and preventing banks from accumulating NPLs on their balance sheets, the ECB and national competent authorities should review the supervisory Pillar 2 backstop applicable to NPLs prior to 26 April 2019 and apply it when a particular bank's NPL ratio exceeds [5%].

This would have the advantage of being a real backstop and would give policymakers confidence that banks will not again accumulate too many NPLs, while providing sufficient flexibility to banks to efficiently manage their portfolios.

Q67. Do you see any issues with the current rules on own funds instruments (CET1, AT1, Tier 2)?

We believe that the current framework for the AT1 instruments is appropriate.

Several capital deduction provisions are currently enforced exclusively within the European Union, without corresponding application in the United States. Conversely, there are no deduction requirements that uniquely burden US institutions while being absent in Europe. This discrepancy creates a competitive imbalance, hindering the performance of EU banks when benchmarked against their global competitors, notably those based in the US. To mitigate this "EU gold-plating" and ensure fair competitive conditions with the US, we believe that **three particular aspects** of these deduction requirements warrant amendment:

- The **Non-Performing Exposure (NPE) backstop**, which was introduced in a particular context of high NPL ratios, and which should be removed now (see Q.66).
- The deduction of **prudent valuation adjustments**. We strongly recommend that Europe adopt a similar accounting-based approach as the US, and eliminate these unnecessary additional Prudent Valuation requirements to ensure a level playing field and foster the competitiveness of the European banking sector.
- **Investments into software should not be subject to capital deduction** beyond what is reflected in standard financial accounting amortisation or write-downs.

Another element that we would like to bring to the attention of the legislator is the use of contingent clauses in AT1 instruments. Contingent clauses consist in including provisions in the contractual documentation of AT1 instruments that adjust certain features in the event that the instrument were to lose its eligibility for inclusion in the AT1 layer. Such clauses allow, under IFRS, AT1 instruments to be classified as liabilities rather than equity. This, in turn, enables the application of hedge accounting for currency and/or interest rate risks, thereby avoiding structural foreign exchange exposures and reducing unwarranted volatility in own funds.



More broadly, this treatment enhances EU banks' ability to issue AT1 instruments in a wider range of currencies (e.g. USD, AUD, SGD), thereby facilitating access to a more diversified and deeper international investor base.

Importantly, neither the CRR nor the Basel framework currently prohibits the inclusion of such clauses, nor do they call into question the eligibility of the instruments as AT1. However, in its Report on the monitoring of AT1, Tier 2 and TLAC/MREL eligible liabilities instruments (2024), the EBA — while acknowledging the benefits of liability accounting in mitigating FX and interest rate-related volatility — recommends disallowing the use of contingent clauses in EU issuances.

From a competitiveness perspective, maintaining this restriction would place EU issuers at a clear disadvantage compared to their international peers. It is therefore essential that this constraint be removed.

Finally, own funds rules are not fully in line with resolution legislation. There is room for simplification.

Q67.1 If you see issues with AT1 instruments, what measures would you recommend for improving the functioning of AT1 instruments?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Increasing conversion trigger					X	
Imposing conversion instead of write-down					X	
Facilitate coupon cancellation by making them more automatic and common					X	
Review minimum distributable amount (MDA) triggers		X				
Other (please specify)		X				

Article 141 of the CRD, which governs the Maximum Distributable Amount (MDA) framework, could usefully be revised.

Under the current approach, the MDA is calculated on the basis of interim and annual profits not yet allocated to CET1, net of envisaged distributions, plus the relevant tax amount. This goes beyond the Basel standard set out in RBC30, paragraph 30.5, and therefore results in gold-plating. To ensure closer alignment with comparable non-EU frameworks, particularly in the UK and the US, and to preserve a level playing field, we believe the EU MDA framework should be simplified.

Q68. What are your views on the following considerations regarding the EU implementation of the output floor?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
The current rules introduced by CRR3 achieve the right balance					X	



- no need to revise the output floor framework						
Some or all of the transitional derogations related to the output floor should be prolonged					X	
Some or all of the transitional derogations related to the output floor should be made permanent	X					
The output floor should only apply at consolidated level	X					
The calibration of the output floor (72.5%) should be increased					X	
The calibration of the output floor (72.5%) should be made more risk-sensitive		X				
The calibration of the output floor (72.5%) should be reduced	X					
Other (please specify)						

The full implementation of the Output Floor would lead to a considerable increase in CRR3 capital requirements (according to the EBA, the capital floor alone will account for 65% of the total increase in CRR3 capital requirements, or more than €100 billion in Common Equity Tier 1 capital for European banks). Several international jurisdictions have hindered the implementation of Basel III finalisation.

The EACB recommends that the European Commission reassess the output floor in the EU Basel framework by making permanent the transitional provisions on residential mortgages and corporates, and freezing the phase in to 65%.

The objective of the Basel Committee in introducing the output floor was to reduce the distribution of the outcome of internal models. However, the EU introduced this measure in their legislation without taking into account the outcome of the extremely detailed scrutiny and harmonisation by the Single Supervisory Mechanism (SSM) of the internal model landscape of EU banks. The result of this exercise was that banks had to reduce the use of internal models and significantly improve the data quality used to feed their models. The question that should be asked is whether the cost and complexity of the SA floor outweigh the benefit of achieving the objective as originally set by the Basel Committee.

Requiring an output floor in the capital framework significantly complicates matters. The Internal Ratings-based (IRB) banks have to calculate their capital requirements twice, first based on internal models and based on the Standardised Approach for all their risk exposures. Complying with these requirements in all their details significantly adds complexity in operations and IT systems of banks, increasing the cost of operations.



As the IRB and SA approaches are based on different assumptions and concepts, it will be hard to optimise the capital requirements, making banking in the EU more expensive.

Furthermore, we would like to emphasise the double counting of the same risk as there is an overlap between the Output floor and the IRB shortfall. The latter arises because IRB shortfall is an IRB specific deduction in the solvency ratio numerator, which continues to apply when output floor is binding a bank to 72.5% of the SA Risk-weighted Assets (RWAs) in the denominator.

Regarding maintaining the transitional provisions on residential mortgages, they will avoid restricting the prudential margin of manoeuvre of financial institutions with respect to very safe assets such as residential real estate. Real estate loans have indeed shown a very stable and safe risk profile with historically low default rates that have allowed for holding very efficient and risk-differentiated capital charges, with the supervisor's control and consent. In addition, the benefits of the transitional arrangements are conditional on "hard tests" where loss rates for the exposures must not exceed 0.25% on average for the past eight years.

Beyond this necessary measure, the Commission could, more fundamentally and in the broader context of European competitiveness, reflect on the appropriateness of the particularly high standardised risk weights applied in Europe, given the actual risk profile. We therefore call on the European Commission to maintain this transitional treatment by making it permanent and not based on national discretion, beyond its end dates of 2029 and 2032, and putting forward an extension to the banks which use the standardised approach, while ensuring compliance with the low-risk criteria in Art. 465(8).

3.3. Macroprudential framework

Q69. In your view, which of the areas below create inefficiencies and undue complexity in the macroprudential framework?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
The current number and scope of macroprudential buffers, some of which may potentially tackle similar risks	X					
The calibration of macroprudential buffers	X					
The calibration of other macroprudential tools	X					
The heterogeneous application of some tools like Other Systemically Important (O-SII) buffers across the EU	X					



The current reciprocity arrangements	X					
The decentralised macroprudential governance framework and prominent role of national macroprudential authorities in setting measures.	X					
Other						

The current buffer framework under the CRD gives national authorities broad scope to impose additional capital requirements in response to emerging risks. In practice, this has resulted in an ever-expanding accumulation of buffers, some of which pursue similar objectives.

Macroprudential buffers are intended to complement the core capital framework, which already includes Pillar 1 and institution-specific supervisory requirements and recommendations such as P2R and P2G. While the G-SIB buffer is fully standardised at international level, the other macroprudential buffers are largely left to the discretion of national authorities, which act in a decentralised and insufficiently coordinated manner. This has created a highly complex framework, made even more difficult by the reciprocity of certain measures across jurisdictions. At the same time, there is no overall assessment of the cumulative impact of these requirements on a bank-by-bank basis.

The O-SII buffer is determined according to national methodologies and applies to specific institutions. It is capped at 3%, but in the absence of harmonisation, similar banks may face materially different buffer levels depending solely on their location. In addition, supervisors may impose an O-SII buffer top-up.

The countercyclical capital buffer is also set by national macroprudential authorities. Although Basel recommends using the credit-to-GDP gap as the main reference indicator for activating a positive CCyB, in practice, authorities often rely on other indicators. This has led, in some jurisdictions, to the concept of a “positive neutral” CCyB, without corresponding reductions in other requirements.

The systemic risk buffer is even more discretionary. It may apply to specific institutions or to particular sectoral exposures, and unlike the O-SII and CCyB, it is not subject to a general cap. Only buffers above 5% require Commission approval, which sets a very high threshold for scrutiny. Although the CCyB and SyRB are decided at national level, their effects extend across the EU banking system through the CCyB calculation methodology and the reciprocity mechanism applicable to the SyRB. Moreover, banks operating in Basel jurisdictions must also apply countercyclical buffers set by non-EU Basel countries. As a result, banks are exposed not only to domestic macroprudential decisions, but also to external measures over which they have no control.

In addition, national authorities may impose RWA floors or borrower-based measures, particularly in the real estate sector.

This broad and uncoordinated discretion makes it extremely difficult for banks to manage and anticipate their capital buffer requirements, especially as these can change every quarter. In some cases, the SyRB may also overlap with risks already captured under Pillar 2, leading to potential double-counting. More generally, the introduction of a positive neutral CCyB without offsetting reductions elsewhere has added a further burden at a time when the operating environment is already challenging.

This matters greatly in practice because the level and evolution of buffers determine the trigger for the maximum distributable amount (MDA), which is closely monitored by investors and supervisors. To avoid



breaching the MDA threshold, banks are therefore compelled to maintain management buffers above the mandatory requirements in order to absorb regulatory uncertainty, cope with unforeseen stress, and preserve flexibility for strategic opportunities such as external growth. The 2023 EBA report confirms that such management buffers are now generally seen by supervisors as normal, which creates an additional constraint in practice.

Finally, the market may struggle to clearly differentiate between P2R and P2G due to the lack of transparency in their calculations. This sometimes creates market expectations for a P2G as a de facto binding minimum, even though it is technically not. For example, if a bank consistently operates close to its P2G, market sentiment might deteriorate, affecting its funding costs, even without formal supervisory action. The absence of clear, publicly articulated thresholds and the rationale behind P2R and P2G can create uncertainty for investors, making it harder for them to compare banks' true capital strength or to understand the triggers for supervisory intervention, particularly in times of stress.

Q70. How can the macroprudential buffer framework be streamlined, while at the same time preserving resilience and the ability of responsible authorities to address systemic risks? Which buffers could be merged and what should be their role?

Simplifying the capital stack should aim to reduce complexity, enhance transparency, and improve the proportionality and predictability of capital requirements, while fully preserving financial stability. In practice, complexity arises from the interaction of multiple capital layers, overlaps between instruments, and the degree of national discretion in their application.

The EACB stresses the importance of a simpler, more harmonised, transparent and predictable approach, consistent at international level and supportive of the competitiveness of the EU banking sector. While recent reforms have strengthened the resilience of the EU banking sector, they have also resulted in a framework characterised by a high number and intensity of macroprudential tools, often exceeding those observed in other jurisdictions.

The priority is the rationalisation of macroprudential buffers. The current framework includes several instruments—such as the capital conservation buffer (CCoB), the countercyclical buffer (CCyB), the systemic risk buffer (SyRB), and the O-SII/G-SII buffers—which can overlap in their objectives and effects. In practice, this layering creates complexity, reduces comparability across institutions, and may lead to disproportionate requirements without clear evidence of additional financial stability benefits.

In particular, the systemic risk buffer should be fundamentally reconsidered or, even better, removed. It was originally introduced to address risks not covered by other instruments, at a time when banks needed to significantly strengthen their capital following the global financial crisis. Since then, the prudential framework has evolved considerably, with the introduction of Pillar 2 requirements, enhanced supervision under the SSM, and a strengthened resolution regime. As a result, EU banks now hold substantial levels of capital. At the same time, the application of the SyRB varies significantly across Member States, creating regulatory uncertainty and raising concerns about potential overlaps with other buffers and supervisory requirements. Differences in national approaches further undermine comparability and the level playing field within the Single Market.

The use of macroprudential buffers also remains highly fragmented. The calibration of O-SII buffers varies widely across countries and is not always clearly linked to underlying systemic risks. This heterogeneity, highlighted by the ECB and the EBA, underscores the need for greater harmonisation and transparency. The setting of O-SII buffers should therefore be based on clearer, more consistent methodologies, potentially linked to quantitative indicators, to avoid unjustified divergences across Member States. The legislator should consider capping the OSII buffer at a level strictly below the first layer of the GSIB buffer, i.e. 0.75% (since an OSII is less systemic than a GSII).



At the same time, the countercyclical buffer should be applied in a consistent and genuinely countercyclical manner, avoiding practices such as “positive neutral” calibration that add to the overall capital burden without corresponding adjustments elsewhere.

Another key issue is the usability of buffers. In practice, banks are often reluctant to use their buffers, notably due to uncertainty regarding the conditions and timeline for their rebuild. This undermines the very purpose of buffers as shock absorbers. Greater clarity is therefore needed on buffer releasability and rebuild expectations, including through more predictable supervisory communication. Improving usability would make the framework more effective without increasing capital requirements. The legislators might also consider assessing the overall level of capital holistically and forward-looking, in line with the UK approach. This might support the releasability of buffers without negative market reactions.

More broadly, simplification should also address the role of supervisory discretion. In particular, Pillar 2 requirements should become more transparent and predictable, with clearer methodologies and a stronger distinction from other elements of the capital stack in order to avoid overlaps.

Finally, further simplification requires reducing national discretions and limiting gold-plating. A more harmonised application of rules across Member States would enhance comparability, reduce complexity, and support a level playing field within the Single Market.

Q71. What are your views regarding the need for a buffer for tackling sectoral risks? Is there a need to maintain a sectoral buffer specifically for real-estate exposures to ensure a more targeted application?

No. Sectoral risks may be addressed through the idiosyncratic evaluation under SREP. It enables targeting only banks that are concerned by the identified risk and adapting the regulatory response to the way the bank addresses this risk.

Regarding real estate, we recognise the importance of robust macroprudential tools to safeguard financial stability. However, based on our analysis of the real estate financing framework and the constraints already affecting banks’ capacity to lend, we do not consider the introduction or reinforcement of a sectoral buffer for real **estate exposures to be justified at this stage**, nor appropriate to address the challenges currently facing European housing markets. Indeed:

- Real-estate exposures already face a dense and cumulative set of prudential constraints.
- The quality of residential mortgage exposures and the legal framework enabling these exposures at the Member State level does not justify an additional buffer.
- A sectoral buffer would further restrict housing supply at a time of acute shortage.
- For targeted risk management, other tools are more appropriate than a sectoral buffer.

Q72. What are your views on the identification of O-SIIs and the calibration of the buffer for systemically important banks?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
The methodology for the identification of O-SIIs should be revised to ensure an enhanced cross-country consistency while considering national specificities.	X					



The O-SII buffer should be calibrated following a more harmonised methodology which ensures a better correlation of systemic importance with a defined range for the level of the buffer rate	X					
Maintain the current state of play regarding the O-SII buffer calibration while enhancing transparency and accountability (including through public disclosure) regarding the calibration methodology and its application.					X	
Other (please specify)						

The O-SII buffer should be capped at a lower level than the lowest G-SII bucket (meaning capped at 0.75%).

This would eliminate the current duplication in the identification of G-SII and O-SII buffers for the same institution and ensure that each buffer is serving its purpose, while preserving the overall consistency with a 2-levels approach (O-SIIs being by definition systematically less important than G-SIIs). In addition, our view is that the **O-SII buffer framework** should be harmonised by achieving targeted reductions through better alignment rather than by triggering a race to the top.

Indeed, even well-capitalised banks are required to prepare for multiple strategies (PRS/VRS) while the probability of resolution is low. Unnecessarily detailed plans or playbooks should not be required as circumstances in resolution cannot be foreseen. It should be enough to have a toolkit that is suitable for most situations. A bank cannot prepare for every turn of events while keeping costs and efforts reasonable.

Q73. Is the current share of releasable buffers⁵ (countercyclical buffer and the systemic risk buffer) in the total combined buffer requirement adequate, so as to ensure that sufficient resources can be released in a downturn to support lending to the economy?

Yes. The support to lending activity in downturn scenarios is the main policy goal behind having releasable capital buffers. When discussing capital buffers, two factors are important: releasability and a level playing field.

Releasability

For buffers to be effectively releasable, it is essential that banks have upfront clarity about their reinstatement. This clarity pertains to the conditions that need to be met before reinstatement, and the pace at which buffers are to be built up after reinstatement. Without either of these elements, banks' capital management functions will not be able to assess the buffers as effectively released and consequently there will be no benefit to the provision of credit. Here, the EU could and should do more to clarify and harmonise the buildup of capital buffers after their release.

Level playing field

It is important to achieve a level playing field regarding capital buffers. In the context of releasable capital buffers, the systemic risk buffer is gold plating of international standards. The EU should remove this measure from legislation to align itself with international standards. Regarding the countercyclical capital buffer, we note a buildup of this buffer over the past years in the EU, which took place inconsistently. Against this



backdrop, we consider that the concept of positive neutral CCyB should be disregarded, and that in case it is implemented, it is offset by a decrease of another buffer such as the Capital Conservation Buffer, to keep this neutral and avoid adversely affecting EU banks' financing capacity. This should in our view be realised by migrating to a European single designated authority.

Q74. How could the risk-weight toolkit under Article 458 CRR be fine-tuned? Would its role change in the context of a streamlined buffer framework?

Currently, Article 458 CRR is mainly used to address vulnerabilities in the real estate sector. Authorities that use it must assess that it is appropriate and does not overlap with other measures.

3.4. Crisis Management Framework

Q75. Are there areas that create undue complexity in the crisis management framework and if yes, how could this undue complexity be reduced without undermining financial stability?

Yes. The ever-increasing requirements create undue complexity. The SRB routinely translates the principle-based provisions of the BRRD and SRMR into highly prescriptive, near-universal operational expectations. SRB's current "full-tool-readiness" doctrine goes far beyond what resolution authorities in most other jurisdictions require, where preparation efforts are more targeted and proportionate to the preferred resolution strategy. Although the SRB refers to proportionality, its guidance in practice remains highly granular and uniform, with limited differentiation by bank size, complexity or systemic relevance. As a result, the SRB's interpretation and enforcement of the framework drives a substantial and growing compliance burden for banks, while competitiveness considerations appear largely absent from its calibration choices.

Excessive procedural requirements — including multiple consultation steps across authorities — slow down decision-making in time-critical crisis situations. Even well-capitalised banks are required to prepare for multiple strategies (PRS/VRS) while the probability of resolution is low. Unnecessarily detailed plans or playbooks should not be required as circumstances in resolution cannot be foreseen. It should be enough to have a toolkit that is suitable for most situations. A bank cannot prepare for every turn of events while keeping costs and efforts reasonable.

DORA and OCIR both aim to strengthen operational resilience, and while there are nuanced differences in scope — DORA focusing on ICT and business-as-usual digital resilience, OCIR on ensuring service continuity specifically in resolution — the overlap in required capabilities is far greater than the differences. Firms must still maintain two parallel, partially duplicative frameworks with separate definitions, documentation, testing and governance expectations. This duplication is unnecessary, increases compliance burden, complicates supervision, and is not proportionate to the relatively minor distinctions in scope. Greater alignment — ideally an integrated model — would significantly reduce undue complexity.

Q76. Are the current rules related to the determination of MREL targets effective, efficient, clear and predictable?

The rules related to the determination of MREL targets are currently clear. However, new requirements have made the determination of MREL targets less predictable. In its latest MREL policy, the SRB presented the possibility for the resolution authority to downwardly adjust the MCC based on progress towards resolvability. This is a much-welcomed adjustment. However, it remains unclear on which grounds the SRB considers the progress to be satisfactory / not satisfactory.



Discretions by the authorities are more seen as ‘optionality for the authorities, rather than creating an obligation for them to more deeply assess the expected post-resolution situation for calibration recapitalisation capacity (which may affect not just Pillar 1 and P2R in an absolute sense, but also P2R in a percentual sense).

The internal MREL framework is less straightforward, but it is important to be cautious about significant overhauls, as some of the complexity may be hard to avoid entirely. Determination and allocation of internal MREL within a group consisting of multiple entities in an appropriate manner is just inherently more complex, as deductions need to be accounted for.

One element that we do question is the apparent need that the framework requires cancellation, in the context of an intra-group bail-in (within a resolution group), while most of these mechanisms in the intra-group loss-absorption phase could be effected entirely through movements of retained earnings. Only the recapitalisation phase should require cancellations, write-downs and conversion of instruments.

Some relief has been provided by – as a starting point – abandoning the imposition of internal MREL for liquidation entities. That said, the framework is somewhat ambiguous about the liquidation entity designation. Some subsidiaries within a ‘resolution group’ may be explicitly designated as liquidation entities, while for all other entities this designation is never made explicitly, and no internal MREL requirement is being imposed (it should be noted that the MREL framework does not preclude non-banking subsidiaries). In other words, we see a combination of explicitly designed (formal) liquidation entities and implied liquidation entities that have not been given such a formal designation.

The desire by the Commission to use DGS and SRF funds as a source of supplemental capital to plug ‘net asset value’ holes (at bank-level or asset/liabilities portfolio combination level) to ‘fund’ (a misnomer) transfer strategies shows recapitalization capacity is not something just for open bank bail-in strategies of large banks, but also resolution transfer strategies of medium sized banks, and lastly also liquidation transfer strategies of small and medium sized banks.

Q77. How can the determination of MREL targets be rendered less complex, while preserving the resilience of the system?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Better align MREL to TLAC, by making the calibration more automatic, predictable and transparent, and subject to less discretions by resolution authorities		X				
Better align MREL to TLAC by allowing MREL to be complied with more subordinated instruments						X
Make the MREL framework for medium-sized and smaller banks more proportionate			X			
Introduce a minimum debt requirement where MREL should be complied with non-CET1 instruments					X	
Other (please specify)						



The determination of MREL targets should be proportionate and better reflect the specificities of different banking models, while avoiding reforms that would inadvertently put cooperative banks at a disadvantage.

In this regard, proposals to redefine MREL as a requirement to be met solely with instruments other than CET1 should be strongly opposed. Such an approach would not reduce complexity in practice and would create significant challenges, particularly for cooperative and smaller institutions.

First, the current framework is already characterised by fragmentation in the application of MREL requirements across Member States. Thresholds triggering MREL vary significantly and, in some jurisdictions, are set at very low levels. For instance, banks with relatively small balance sheets may be required to comply with MREL requirements similar to those imposed on much larger institutions. This creates disproportionate burdens, particularly for cooperative banks, whose regional business models make them more sensitive to such requirements. In practice, this can leave institutions overly dependent on national authorities' discretion when setting MREL expectations. Simplification should therefore start with greater harmonisation and proportionality in the application of thresholds.

Second, the rationale that CET1 would already be largely or fully depleted at the point of resolution does not reflect the reality of all banking models, in particular cooperative banks. In these institutions, retained earnings (which often constitute the majority of CET1) are non-distributable and do not belong to members. As such, they represent the most subordinated and stable form of loss-absorbing capacity, with a higher likelihood of remaining available compared to bail-inable debt instruments, which are subject to maturity and rollover risk. Excluding CET1 from MREL would therefore disregard a key source of resilience.

Third, increasing reliance on bail-inable debt instruments (such as senior preferred, senior non-preferred, Tier 2 or AT1) is not feasible for many small and medium-sized banks. A significant number of these institutions do not have effective access to capital markets, due in part to their size and to the fragmentation and limited depth of European capital markets. Requiring such issuance to meet MREL targets would either constrain their growth—by forcing them to remain below certain thresholds—or expose them to the risk of non-compliance if market conditions prevent the rollover of existing instruments. This would directly challenge the viability of their business models, despite the fact that many of these institutions already meet capital and MREL requirements through substantial CET1 buffers.

This position is clearly substantiated by the results of the EBA MREL impact assessment report under article 45I(2) BRRD (EBA/REP/2026/06)⁹ published in March 2026. The report clearly shows that a share of EU banks, *“mainly smaller, lower rated institutions, face difficulties issuing MREL-eligible debt, largely due to limited investor demand, shallow markets and internal constraints”*, indeed *“most institutions, and in particular smaller ones, rely on retained earnings to bolster capital for MREL, rather than issue new equity”*. Therefore, moving to a gone-concern capital that does not account for CET1 buffers would have a significant disproportionate effect, in particular on smaller banks, without any tangible improvements to the resolution framework.

Finally, we see additional scrutiny on the retail distribution of MREL eligible instruments which is hard to understand. CMDI texts notably ask for EBA guidelines to this regards. However MIFID rules already exist to protect investors. In addition, we do not understand why equity, while being more risky, is commonly accepted for retail investors while MREL eligible instruments which are better placed in the creditor hierarchy are the focus of additional scrutiny for retail investors. We ask for stability of rules on retail distribution.

⁹ EBA [MREL impact assessment report.pdf](#)



Q78. Do you consider that the prior permission regimes for the redemption and replacement of MREL resources should be simplified?

Yes. The prior permission regime could be significantly simplified both for own funds and MREL. Banks should be free to redeem/call and conduct liquidity management exercises as long as they have sufficient headroom over applicable requirements. For pure market making (not to be confused with liquidity management exercises), it makes sense to keep levels somewhat constrained even if there is headroom (not more but also not less constrained than the current framework). Indeed, those limits are only to support business as usual liquidity of a bank's issued instruments, not to support those instruments in case of distress. Nevertheless, a simplified process and exemptions should apply also for the purposes of market making. In line with the logic of simplification, the SRB fast-track process (currently under consultation) should be further streamlined and shortened.

Q79. What is your view on the rules allowing to use resolution funds to support a resolution action, in particular the minimum bail-in of 8% of the total liabilities of own funds of the distressed bank? Are they proportionate and give sufficient flexibility to handle bank failures adequately? Do they create level playing field issues vis-à-vis other jurisdictions?

The CMDI already foresees more flexibility through the "bridge the gap" mechanism. At this stage, we do not support changes that go beyond the CMDI.

3.5. Interactions across parts of the framework

Q80. In your view, which of the areas below create inefficiencies and undue complexity in the interactions across the prudential, macroprudential and crisis management parts of the framework?

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Overlapping requirements addressing the same or similar risks (P2R/P2G/certain macroprudential buffers);		X				
Limited buffer usability resulting from double counting CET1 both in macroprudential buffers and in other minimum requirements (leverage ratio, MREL)		X				
Multiplicity of MDA restrictions with varying triggers stemming from prudential and resolution frameworks		X				



Cross-framework governance and coordination issues and data sharing.		X				
Other (please specify)						

Overlapping requirements addressing the same or similar risks (P2R/P2G/CoCB/certain macroprudential buffers) is a clear example of undue complexity not only across different frameworks but also within the prudential framework.

Q81. How could the governance in the macroprudential framework be improved to achieve a more consistent application of macroprudential tools across the EU?

The current macroprudential framework needs to be simplified, made more understandable and predictable, and closer to international standards.

The systemic risk buffer (SyRB - Article 133 of the CRD) should be removed; indeed, other buffers or additional macroprudential RWA requirements already address specific systemic risks. The SyRB is also a clear case of EU gold plating not contemplated in the Basel framework. As it is applied at the discretion of National Designated Authorities, it feeds prudential fragmentation in the EU.

The O-SII buffer (Article 131 (5) of the CRD) must be reviewed. Indeed, under the point of “harmonisation”, the ECB increases it by setting upward-revised floors to the buffer level. To preserve consistency, we recommend that the O-SII buffer be capped at a level below the lowest level of the G-SII buffer, meaning a maximum level of 0.75%.

Beyond these two aspects, the conditions for relaxing macroprudential buffers have to be clarified.

Finally, we ask for the removal of any "positive neutral" countercyclical buffer in European law.

Q82. What ways could be envisaged to reduce undue complexity in the interactions across the three parts of the framework, including in relation to the capital stack and governance arrangements between the authorities in charge of the prudential, macroprudential and crisis management rules, without undermining financial stability?

To improve the governance arrangements of the framework, we recommend defining this list of guiding principles (which should be effectively implemented and controlled):

- Re-establish a strict hierarchy of regulations: define a legal “safeguard” that re-balances Level 1 vs. Levels 2–3 and prevents RTS/guidelines/other elements of soft law from extending beyond clear Level 1 mandates.
- Implement an active “no-double-counting” principle throughout the regulatory framework.
- Reduce the number of overlapping buffers, eliminate gold-plated layers such as the “catch-all” SyRB, and cap or remove the O-SII buffer.
- Improve efficiency and transparency of supervision; adopt risk-based materiality thresholds.
- Align crisis-management expectations with prudential reality (suspend overlapping of new templates, and ensure any changes are subject to a cost-benefit analysis as part of the simplification agenda).
- Establish a single data and reporting architecture.

Finally, embed competitiveness and sustainable growth as secondary objectives in the mandates of the ESAs and the SSM. In addition, we would like to draw the legislator's attention to a specific element of the prudential



consolidation. The criteria of €10 million concerning the exclusion of entities from the scope of prudential consolidation (in Article 19 CRR) is no longer relevant and should be revised. Indeed, the rise in inflation over several years must be taken into account. Therefore, we suggest raising the criteria from €10 million to €100 million. A periodic clause of review should also be incorporated in CRR to prevent undue inflationary effects and simplify the operational burden of institutions.

Q83. How could the governance arrangements across the three parts of the frameworks be improved, having in mind the objective of ensuring the adequacy of requirements applying to individual banks and avoiding overlaps?

For smaller banks, it would be helpful to have a single central supervisor coordinate the three parts of the framework and serve as a contact person for the banks.

3.6. Proportionality

Q84. Would you consider that the current bank regulatory framework is sufficiently proportionate for smaller banks?

Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
			X		

A more competitive and resilient European banking sector requires a renewed application of the proportionality principle for all institutions, grounded in the EU Treaties and the Commission's own better regulation principles, ensuring that regulatory requirements are necessary to achieve their stated objectives, appropriately calibrated, and do not impose excessive burdens relative to the risks addressed. This approach should make fuller use of existing legal flexibilities and ensure that rules are introduced and maintained only where they demonstrably contribute to financial stability, while avoiding unnecessary complexity for banks across the board. The regulatory framework should be assessed against the objectives and fitness for purpose of requirements imposed on institutions, as well as their impact on the competitiveness of EU banks.

Important efforts have been made to date to incorporate proportionality. However, in practice, these efforts have delivered only partial results as a significant number of complex rules and Level 2 and Level 3 requirements (often designed with large, internationally active banks in mind) apply in the same fashion to banks with low-risk business models, such as cooperative banks, resulting in disproportionate operational and compliance burdens, weighing in proportion even more on SNCIs' processes and resources. In this context, further progress is needed to ensure that the regulatory framework better reflects the diversity of the European banking sector, notably by respecting the cooperative model and taking into consideration the need for EU competitiveness. This should not imply a departure from a **risk-based approach**, but rather a more effective operationalisation of proportionality, that systematises and coherently applies taking into account institutions' **risk profile, business model, governance, size and complexity**. See also Q85.

Regulators and banks together should determine how measures may benefit European banks, large and small, particularly also regarding the credit portfolio (e.g. including residential real estate) where concerns are the same. After this exercise, dedicated measures could be specifically established for small banks.



Examples

Apply proportionality for the due diligence on ECAIs' ratings

Article 113(1) CRR, read in conjunction with CRD6 Article 79(b), requires institutions to design internal process to challenge the credit assessment provided by ECAIs. However, it would hardly be proportional to require SNCIs to put in place internal procedures for analysing whether the risk weights are appropriate and prudent for a given exposure or whether the rating provided by an ECAI is coherent with the actual risk posed by a counterparty. We like to highlight that SNCIs do not have the operational capacity to conduct such an assessment. Therefore, SNCIs should be exempted from due diligence requirements under CR SA.

Moreover, building on the simplification efforts, and taking into account the overall reforms that intervened also on the sector of credit rating agencies, we believe that these considerations should not be limited only to SNCIs, but generally extended to all banks. As trust in the effectiveness of ratings has been reestablished, and other tools are more properly calibrated, e.g. provisioning, it would make sense to use ECAIs' ratings in a straightforward manner.

The retail granularity criterion

The EACB is of the view that the framework, based on qualitative and quantitative criteria implemented at the national level to establish when an exposure was to be considered as one of a significant number of similar exposures in accordance with Article 123 of the CRR, was effective and fit for purpose.

However, the EBA recently issued the final version of the Guidelines to specify proportionate diversification methods for the application of Article 123. Based on the text submitted to the Commission (EBA/GL/2026/02), the EACB concluded that the diversification test, as currently delineated in the final Guidelines, appears burdensome and not in line with the principle of proportionality. Although EBA recognised that not all institutions, particularly smaller ones, can consistently meet this benchmark, the Guidelines only partially applied the concept of proportionality allowing institutions to use the preferential risk weight (75%) even if they exceed the baseline benchmark, but only for the portfolio where no more than the 10% of their eligible retail portfolio is above the 0.2% threshold. Indeed, the EBA is effectively introducing the 0.2% granularity criterion in a hard form, despite the fact that Basel III does not require a formally quantitative criterion as an alternative to ensure effective diversification. The EBA has not considered any qualitative measures, which could better reflect the peculiarities of small entities compared to a single ratio.

The solution set forth by EBA should be revised or at least modified to introduce alternative and non-complex diversification methods. A solution to simplify this matter is to require that banks have adequate and uniformly defined risk monitoring and classification systems, including risks arising from retail portfolios. The method should also take into account the affiliation of institutions to IPSs.

Regarding lines of defence for small banks

According to Article 76(3) of the CRD, an institution that is not considered significant may combine the risk committee with the audit committee. This is typically the case for institutions with total assets of up to €10 billion and non-complex operations.

However, EU banks operate under a three-lines-of-defence model, which requires a separation between operations, risk oversight, and audit. For example, in the context of credit risk models, there should ideally be three senior managers: one responsible for developing models within operations or business, one for validating models within risk management, and one for auditing to provide independent assurance to the Board. Clearly, a small bank cannot afford to employ three senior managers dedicated to credit risk modelling if it is to remain competitive in the long-term.



Therefore, small banks should be allowed to combine roles, provided that independence is maintained. In essence, a textbook implementation of the three-lines-of-defence model is unrealistic for small banks, as it is uneconomical. Supervisors should therefore require only a two-lines-of-defence approach for smaller institutions, allowing them to combine functions as appropriate while ensuring adequate independence. To apply such a two-lines-of-defence model, supervisors must be assured that it remains consistent with EU regulation. Consequently, the regulatory framework should explicitly state that a two-lines-of-defence approach is sufficient for banks that are small enough to combine the risk committee with the audit committee.

Q85. Do you consider that the introduction of a dedicated regulatory and supervisory regime for small banks would be warranted in the EU? In your response, please assess in particular how such a regime could meaningfully improve proportionality and efficiency, without undermining financial stability, depositor protection, or the level playing field within the EU.

Cooperative banks generally play a key role in financing SMEs and supporting regional economic activity. Their business models are generally characterised by lower risk profiles, strong customer relationships, and straightforward lending activities. Overall proportionality should be improved across the board to duly reflect these features, including, e.g., the calibration of risk modules and/or calculations of relevant types of exposures. If, for example, a redefinition of residential real estate exposures is pursued to simplify calculation processes, the effects should be duly considered for all banks. As a result, we believe that the concept of proportionality should be clarified in order to simplify the obligations applicable to cooperative institutions on the basis of common and harmonised risk-based criteria, and respectful of their governance.

Currently, in practice, the EU regulatory framework often generates **disproportionate operational, compliance, reporting, and governance burdens** for local and regional banks. This situation is partly driven by the progressive accumulation of detailed regulatory and supervisory requirements over time, which do not always adequately reflect the **specific risk profile and operational simplicity** of cooperative banks with low-risk business models, including smaller institutions, meeting these criteria.

Against this background, further progress in the application of proportionality is needed. This could include the development of a more **structured, proportionate, and coherent system** for cooperative banks with low-risk business models, **including smaller institutions**, provided that such an approach remains firmly anchored in the common **risk-based methodology**, does not weaken core prudential safeguards, and does not affect competition. As a first step, this could envisage a dedicated Title in the CRR for the application of rules to SNCIs, to improve coherence in the application of requirements.

The objective should be a more proportionate framework, anchored in the features and objectives of the CRR, and focused on a limited number of existing and relevant risk-based indicators, reflecting the simplicity of the business model and the low risk profile of the institution that could be proved by the competent authority on a regular basis. This is no less strict, and it does not hamper competition by safeguarding the prudent levels of capital and liquidity and ensuring comparability within a risk based approach.

Any such framework should rely on **clearly defined and consistently applied eligibility criteria at the EU level**, based on a combination of factors such as business model, governance, size and complexity, and risk profile, in order to avoid distortions and ensure a level playing field. Participation could be designed as voluntary, subject to supervisory approval, with ongoing monitoring to ensure that only institutions with a stable low-risk profile benefit from simplified treatment. Where this is no longer the case, institutions would no longer qualify.

Experiences in international jurisdictions suggests that such risk based approaches can be implemented effectively. Simplified requirements could be granted in a targeted way, while maintaining strong safeguards, including appropriate levels of capital, liquidity, and sound governance. Overall, a more proportionate and operationally workable framework would improve efficiency, support the diversity of the European banking



sector, and enhance the ability of cooperative institutions, across the board from the large to the smaller ones, to serve regional economies, while fully preserving financial stability and depositor protection.

Q86. Should there be, in your view, a more consistent and proportionate set of requirements across the prudential, macroprudential and crisis management rules for smaller banks?

Please refer to our answers in Q84 and Q85 and the safeguards therein indicated.

Q87. Should the definition of small and non-complex institutions be amended? If so, should the EUR 5 billion total assets size threshold be increased? By how much? Should size be the only relevant factor or which additional elements could be introduced to better tailor requirements to their risk profiles and operational realities?

The definition of SNCI is already taking into account qualitative criteria, albeit expressed in quantitative fashion. We call upon the European Commission to take into account inflation in the revision of the thresholds as mentioned in the CRR regarding the classification of financial institutions in small and non-complex institutions, large institutions and other institutions, as well as other prudential regulations where thresholds are used. This includes the significance threshold of €30bn total assets for direct supervision by the ECB, as established in article 6.4 of Regulation (EU) No. 1024/2013 of 15 October 2013.

The accumulated inflation over the past decade (over 25%) has increased the nominal value of financial institutions' assets beyond the actual growth in their scope of activity, causing more banks to exceed this threshold without necessarily reflecting greater size in real terms risk or operational complexity.¹⁰ As a result, these institutions become subject to a more costly and stringent supervisory regime, with increased bureaucratic and operational burdens, without being fully justified from a prudential perspective.

The same situation is faced by small and non-complex Institutions, as defined by Article 4, paragraph (1), item (145) of CRR, and the €5bn threshold for total assets. Given that the regulatory simplification agenda aims to reduce unnecessary burdens and make the regulatory framework more efficient, recalibrating these thresholds in line with the current economic environment would help prevent distortions and ensure that regulation and supervision are applied proportionally to the sector's actual conditions. The effect of inflation on the balance sheet size should be regarded as neutral to banks' significance, complexity or relative size.

Hence, we suggest raising the SNCI threshold from €5bn to €10bn and the threshold for SI from €30bn to €45bn. Raising the thresholds at these levels would allow the framework to properly account for the past inflation and provide additional room for future evolution. A change in this direction appears as the best pathway to ensure a framework able to capture the economic reality and stable across time.

Moreover, the criteria not to be subject to simplified obligations, in relation to recovery and resolution planning in accordance with Article 4 BRRD should be removed. The BRRD has its own unique regulatory system, and certain BRRD criteria are therefore inappropriate to define an SNCI.

Looking at other potential qualitative considerations to take into account in the broader proportionality debate, we consider that attention could be given to the purpose or the goal pursued by institutions. Some banking institutions are bound by law or statutes to operate according to key principles and features as referred to in the Council Recommendation C/2023/1344: (i) the primacy of people as well as social or environmental purpose over profit; (ii) the reinvestment of all or most of the profits and surpluses to further pursue their social or environmental purposes and carry out activities in the interest of their members/users ('collective interest') or society at large ('general interest'); and (iii) democratic or participatory governance.

¹⁰ Commission Delegated Directive (EU) 2023/2775 of 17 October 2023 amending Directive 2013/34/EU of the European Parliament and of the Council as regards the adjustments of the size criteria for micro, small, medium-sized and large undertakings or groups



In these cases, the kernel of the business model is defined by law, and therefore, it makes sense to recognise such a feature in the regulatory framework.

3.7. Corporate governance

Q88. Taking into account the need to put in place sound remuneration policies that do not provide incentives for excessive risk-taking behaviour, but also the need to remain competitive and reduce financial and administrative burden, how would you evaluate the following provisions on the pay of directors and other material risk takers?

	Very positive	Somewhat positive	Neutral	Somewhat negative	Very negative	Don't know/ No opinion
Requirement that the variable component shall not exceed 100 % of the fixed component of the total remuneration for each individual ('bonus cap')					X	
Requirement that the variable remuneration shall consist of different types of instruments ('balancing requirement')					X	
Requirement that a significant part of the remuneration is deferred and vest on a pro-rata basis ('deferral')			X			
Requirement that up to 100 % of the total variable remuneration shall be subject to malus or clawback arrangements ('malus/clawback')		X				
Other						

- **Requirement that the variable component shall not exceed 100% of the fixed component of the total remuneration for each individual ("bonus cap"):** institutions are limited in their ability to design incentive-based remuneration policies. In addition, this is likely to increase the fixed component of remuneration, thereby reducing the ability to adjust costs in periods of stress.
- **Requirement that variable remuneration shall consist of different types of instruments ("balancing requirement"):** for institutions that do not wish, or are not able – such as cooperative banks – to grant remuneration in shares, part of the remuneration must be granted in equivalent financial instruments intended to replicate share-based remuneration. In practice, this consists of cash indexed to criteria intended to reflect the value of the company. The added value of this requirement, in addition to the existing obligation to link variable remuneration to performance criteria, is very limited.



- Requirement that **a significant part of remuneration be deferred and vest on a pro-rata basis** (“deferral”): this is positive from an accounting and financial soundness perspective, as it smooths the payment of certain remuneration components; it also supports long-term risk management.
- Requirement that up to 100% of **total variable remuneration be subject to malus or clawback arrangements** (“malus/clawback”): these mechanisms strengthen individual accountability and risk culture; they are consistent with sound and prudent management. With regard to clawback mechanisms, the consequences of actions taken by risk-takers may materialise after the end of their employment contract.
- These mechanisms are generally integrated into internal remuneration policies, but they generate operational complexity, particularly in the structuring of remuneration packages, the management of deferred instruments and the effective implementation of penalty and clawback clauses.
- In certain contexts, these mechanisms may also reduce the flexibility of European institutions compared to their non-EU competitors, particularly for functions exposed to international competition. This situation may cause tensions between risk control objectives and competitiveness requirements, without however calling into question the prudential legitimacy of the system.

Q89. Where do you see potential for simplification of the EU rules on internal governance and remuneration policies of financial institutions without undermining the institutions’ sound and prudent management?

Potential improvements could focus on enhancing operational efficiency while fully preserving the robustness of the EU governance framework.

In practice, the level of detail and prescriptive nature of the requirements may lead to operational complexity, particularly in the design and monitoring of internal systems. In particular, there is a risk of excessive documentation, which can sometimes exceed the actual risks posed by certain functions or entities. A similar principle of proportionality could be applied to remuneration policies, ensuring that the design and documentation requirements are appropriate to the size, complexity and risk profile of the institution.

Simplification efforts could therefore include a more proportionate approach to Fit & Proper assessments, covering processes, templates, and supervisory expectations.

Level 1 text should be more principle-based. For example, the latest requirements on individual statements, mapping of duties should be reassessed, especially as they might, through the EBA guidelines, have consequences in terms of responsibility of the members of the Boards, and be inconsistent with some national laws. Level 2 should be limited to non-essential technical elements aligned with Level 1. Level 3 should not add obligations to Level 1, should not be granular and should remain in practice non-binding. Better coordination between regulatory requirements, guidelines, guides and supervisory practices, as well as more effective application of the principle of proportionality, which should always be connected to a risk-based approach, could reduce the administrative burden while preserving the robustness of the governance framework.

A more effective application of risk-based proportionality remains key. In particular, proportionality could be applied more broadly within banking groups, allowing simplified internal processes and greater flexibility in governance arrangements at subsidiary level, including with regard to board composition, committee structures and internal control functions, where risk profiles justify such adaptations.

Certain expectations relating to collective suitability assessments could also benefit from clarification to ensure that required competencies remain realistic and appropriately aligned with the effective functioning of management bodies. Highly detailed investigative expectations regarding reputation and conflicts of interest may be reconsidered where existing safeguards already provide adequate assurance.



Similarly, Level 3 expectations without any legal basis should be amended. Notably, the EBA and ECB should not seek formal independence, which lacks any legal basis under CRD and is incompatible with the cooperative democratic model.

More generally, avoiding redundant documentation requirements — including individual statements or detailed mappings of responsibilities where equivalent internal arrangements already exist — would contribute to a more efficient framework.

Finally, systematic consultations and impact assessments, conducted both ex-ante and ex-post, would support a more stable and predictable regulatory environment. Mandates that improperly shift policy choices to lower levels (2,3) should be addressed. Excessive delegations to Level 2 acts should be withdrawn. Future regulations should better reflect the institutional balance and take competitiveness as an essential criterion. Continued simplification, consolidation and stabilisation of the European regulatory framework would further facilitate effective implementation while maintaining high prudential standards.

Q90. In your view, which regulatory measures regarding the EU rules on internal governance and remuneration policies of financial institution could lead to improvements?

Improvements to the regulatory framework should focus in particular on remuneration, formal independence and fit & proper requirements, while ensuring that competitiveness and proportionality are better taken into account.

Recital 55 CRD clearly states as follows that different governance structure must be respected in EU legislation. In this vein, the SSM supervisory statement on governance also stated in June 2016: *“Formal independence should be based on national criteria defined in national legislation or by national competent authorities (NCAs), since there are no formal independence criteria in the CRD IV.”*

The EBA has no specific mandate to create a definition of formal independence or even ask for formal independence as CRD demands an independence of mind. The definition of independence is a national specificity laid down in company and labour law. Therefore, the European authority should abstain from giving such a definition. If not, it has to appropriately take into account at least national specificities and variously designed structures of EU banks.

With regard to remuneration, the cap on variable remuneration should be reviewed, notably by allowing a higher ratio—up to 200% of fixed remuneration—in order to restore flexibility and improve the attractiveness of EU institutions.

As for Fit & Proper requirements, several simplification measures could be introduced. These include reviewing and recalibrating Fit and Proper templates and assessment processes, including the simplification of templates with more explanatory fields and fewer technical requests, reputation and conflicts of interest sections which are too complex, versus frameworks where self-attestations are more widely recognised. Besides, this also entails the establishment, at the European level, of a simplified approval process for the renewal of directors, building on existing practices in some Member States. Supervisors should also systematically reuse data already submitted by institutions, including across different fit & proper files, supported by the creation of a centralised and up-to-date database at the ECB level. In addition, the ex-ante notification requirement for certain appointments should be removed, as it adds complexity without clear benefits, particularly given existing national governance procedures and timelines. Finally, the provisions on the mapping of duties and individual statements of roles and responsibilities should be clarified and simplified, as currently envisaged in the draft revised EBA Guidelines on internal governance. We stress that national principles should not be jeopardised in practice through Level 3 texts.

More broadly, there is a need to better integrate competitiveness considerations into the regulatory process. This should include systematic impact assessments, more structured stakeholder consultations, a greater



reliance on principle-based legislation, and a reduction in the use of detailed Level 2 and Level 3 measures. Enhancing the overall consistency of the framework is also essential.

At the same time, any changes must preserve the robustness of the European prudential framework, which remains a key strategic asset. They should also respect the diversity of banking models in Europe, including specific national or institutional arrangements, and fully adhere to the principle of proportionality, applied on a risk-based basis.

3.8. Reporting and Disclosure

Q91. Which of the implemented or planned EU or national measures have in your opinion the most impact on reducing undue complexity and burden as regards bank reporting requirements? Please rank the measures according to their impact and provide evidence.

	Fully agree	Somewhat agree	Neutral	Somewhat disagree	Fully disagree	No opinion
Harmonisation of supervisory reporting ITS (COREP, FINREP, ALMM, IRRBB) and validation rules	X					
EBA filing rules and efforts to standardise electronic submission formats (XBRL filing rules, CSV options, technical guidance)	X					
European Commission REFIT / Simplification Omnibus	X					
EBA Data Strategy 2026-2028		X				
Work program of the Joint Bank Reporting Committee for 2026	X					
Other	ESMA reporting simplification					

The introductory text to this question appears to focus on supervisory reporting within the meaning of the ITS on supervisory reporting. However, the complexity and burden on institutions – and thus the impact on their competitiveness – stems to a large extent from the multitude of overlapping supervisory, statistical and resolution-related reporting requirements. Therefore, the EU should streamline overlapping reporting and disclosure requirements across financial legislation. The Better Data Sharing Regulation (Regulation (EU) 2025/2088) marks a further step towards simplification. We welcome this regulation, however, it must be implemented consistently now. The EACB sees an integrated reporting framework as a priority. We fully agree that standardisation in reporting reduces undue complexity and burden. Only a consistent approach to ‘define once – report once’, which is binding on the stakeholders concerned and takes proportionality into account, will limit the burdens on institutions and authorities. Thus, the focus on an integrated reporting system (IRS) is the right approach. The EBA’s data strategy, ‘Strengthen collaboration with and among EU reporting agents to lower reporting costs for industry and authorities’, and the work of the JBRC contribute to this.



However, we are aware that this ambitious goal cannot be achieved by the Joint Bank Reporting Committee (JBRC) in a short time. Additionally, the ECB's approach via the IReF project risks incurring high IT and implementation costs. This will by no means result in any relief for institutions in the short to medium term. The introduction of IReF will lead to high implementation costs and a greater strain on human resources, particularly during the parallel phase, when both current and new reports must be produced simultaneously. We therefore consider a moratorium on new or /and significantly amended reporting requirements of at least two years coming into effect immediately to be necessary, as this would pave the way for the consistent development of an integrated reporting system and offer institutions the prospect of genuine relief.

A more proportional reporting framework should take into account the significance of the generated information, its use, and the frequency with which it should be produced. Limitations of the current reporting framework might be overcome on a more short-term basis by aligning definitions across templates, reducing redundancies across templates, and ensuring the stability and predictability of the reporting framework. Where EBA modules require the submission of low-value entity-level information, data points could be submitted only at the consolidated level. Here, we refer to EBA modules such as IRRBB, Market Risk, Additional Liquidity Monitoring Metrics (ALMM), Liquidity Coverage Ratio (LCR), and Net Stable Funding Ratio (NSFR). The EBA has also advocated for a streamlining of the European reporting system in its Report on the Efficiency of the Regulatory and Supervisory Framework (EBA/REP/2025/26). As part of the ECB's 'SSM Next Level Supervision' project, a key focus was placed on simplifying reporting and disclosure requirements. The financial sector submitted around 1,200 proposals, including some specifically for LSIs and SNCIs. The concrete implementation of these practical proposals should, as a first step, lead to a noticeable reduction in the reporting burden, thereby enabling the development of an IRS in a second step. This will avoid additional double burdens when implementing an IRS.

We believe the process for testing the filing rules before they are issued to the industry should be improved. For example, with the introduction of the CRR 3, banks had to inform the EBA/ECB with many filing rules that were not consistent with the CRR. The BIRD project, supported by the ECB, shows that the EBA's reporting instructions (technical guidance) are not always clear, creating complexity and uncertainty in the application of the framework.

The harmonisation of the reporting framework should be cross-jurisdictional and cross-topic. For example, a more harmonised EU-level rulebook, together with AMLA's coordinating role, could create a consistent basis also for ALM reporting and cut overlaps between national requirements.

The financial transaction reporting EMIR, MiFIR, and SFTR also need to be simplified.

Q92. What factors linked to reporting obligations in the regulatory framework contribute most to the compliance costs?

	Low impact	Medium impact	High impact	No opinion
Number of data points			X	
Frequency of changes of the reporting obligations			X	
The difficulty of using regulatory reporting for internal risk management purpose			X	



Ad hoc reporting requests from supervisory authorities			X	
Frequency of submission of reporting obligations			X	
Other			duplication	

Number of data points / frequency of submission

A reduction in the number of data points does not automatically lead to cost savings and may, in fact, result in higher costs due to the implementation efforts required. Any meaningful reduction of data points must therefore be accompanied by a corresponding reduction in entire reporting templates.

Frequency of changes to reporting requirements

Changes to reporting requirements and subsequent resubmissions entail high additional costs and absorb substantial staff resources. Adjustments to reporting software are subject to strict IT governance and control processes. As a result, even minor changes typically require almost the same level of effort as major ones, including documentation, testing, and the commissioning of a release or hotfix.

Ad hoc reporting requests

Ad hoc reporting requests often go well beyond the scope and level of detail of standard reporting. Consequently, the capacity required to respond to such requests is substantial. Due to their limited predictability, institutions are required to reserve dedicated resources to manage the high volume of requests arising in the context of the SREP or the JST dialogue. In terms of intensity and resource consumption, these requests are comparable to on-site inspections or audits.

Ad hoc requests typically involve not only alternative evaluations or selections of existing data but also the collection, preparation, and delivery of new information, as well as its integration with existing datasets. Ad hoc reporting requests, including data requests by JSTs for the preparation of OSIs, should therefore be systematically assessed against information already available, preferably drawing on data already reported by institutions. New breakdowns or additional data requirements should be introduced only after a thorough cost-benefit analysis.

Regulatory reporting is complex due to the number of data points, the complexity, the detailed definitions, and the time required to prepare regulatory reports. For these reasons, internal risk management reporting usually relies on alternative solutions.

Examples of high-cost regulatory reporting requirements include the formal non-existence of materiality in the level 1 reporting framework, valuation data sets, liability data reporting, and daily reporting requirements. The number of data points, the complexity of definitions, the frequency of changes to reporting obligations, the frequency of reporting obligation submissions, and ad hoc reporting requests all contribute to the high costs of regulatory reporting.

Q93. What other policy measures, legislative or non-legislative, could be considered to further modernise reporting and reduce the reporting burden?

In the context of the prudential framework, it is important to take into account the specific characteristics of agricultural finance and its importance for the EU food security, rural development and the resilience of the EU agri-food value chain. Due to the SA floor and IRB input floors under the CRR 3, as well as the fact that



certain agricultural commodities are not eligible for credit risk mitigation, the capital requirement regarding highly collateralised loans to the EU Agri sector has increased. We recall that the European Banking Authority has been mandated, under Article 505 CRR, to assess and prepare by the end of 2027 an intermediate report on the impact of the CRR on the provision of financing to the agricultural sector.

Further information on the report's publication timeline or preliminary findings should be made available to relevant stakeholders. An interim version is expected as early as 2027, which would be instrumental in contemplating or identifying additional changes to the prudential treatment of agricultural exposures. A proportionate and evidence-based approach remains essential to ensure that capital requirements appropriately reflect the actual risk profile of agricultural lending, which is often relationship-based and supported by tangible assets and public support mechanisms. Preserving adequate regulatory flexibility will help maintain access to finance for primary production, investment in sustainable farming practices and innovation across the food chain, thereby supporting both financial stability and the competitiveness of the EU agri-food sector.

Supervisors should be given a clear target to lower the amount of reporting (reports and individual data points). The same information should be gathered by supervisors only once, and supervisors should exchange it efficiently. Supervisors should move towards facility-level information gathering rather than creating ever expanding report frameworks.

Standardised, centralised, and harmonised reporting templates would enable higher levels of automation. Maintaining reporting requirements as consistent as possible over time (while recognising that some change is unavoidable) would further support efficient processes.

Omitting complete reports and implement a regular review of requirements

In order to fulfil the Commission's objective of reducing the reporting cost for banks by approximately 25%, certain templates should, if risk sensitivity allows, be omitted completely instead of simply deleting certain rows or columns (for example, Asset Encumbrance, CVA risk or market risk – see also Question 86). The latter requires changing IT solutions, thereby creating additional costs.

Disclosure

As this part of the consultation addresses the modernisation of reporting and the reduction of reporting burden, disclosure requirements should also be considered here. Banks provide transparency on their risk profile by publishing key information in their disclosure reports. While the objective of Pillar 3 – to enhance market discipline through transparency – is understandable, it is not being achieved in practice. Disclosure reports have grown excessively long and complex, often exceeding 300 pages, while their actual use by market participants [OG24.1] remains very limited, including for large institutions, as reflected, for example, in low click rates on institutions' webpages. At the same time, the effort involved in producing them is considerable and has increased significantly. Furthermore, the institutions receive hardly any queries relating to the disclosure reports, which suggests a lack of interest. Stakeholders can obtain all relevant key metrics from annual financial statements or annual reports. Much of the content serves supervisory purposes, duplicating information already available through regulatory reporting. Since supervisory authorities already receive the relevant information through those channels, an additional Pillar 3 report seems to be obsolete. As a conclusion, separate Pillar 3 disclosures should be waived.

Q94. Do you identify any instances where the reporting requirements for banks also lead to an undue burden for bank's clients? Please explain where this is the case and how this could be improved.

Yes. Regarding real estate, banks do not always have sufficient (historic) data to comply with the new CRR requirements, such as valuation. Similarly, the ECB requires banks to collect data at the individual client level based on the very detailed EBA Guidelines on Loan Origination and Monitoring. This data is often not stored



in banking databases and is not required for prudential reporting. Here, we refer, for example, to the retirement income and income (wealth) not coming from their professional occupation.

Regarding AML and KYC requirements, they create an undue burden for SMEs. Clients often have to submit the same personal information, financial data, ownership structures, or documents repeatedly, even when nothing relevant has changed. EU-level central registers with reliable, verified information — such as the TOED and PEP registers — would reduce this burden, as banks could retrieve information directly from the registers.

One further example is the requirement to form groups of connected clients. This overarching concept is fundamentally linked to the regulation of institutions' assets (capital adequacy requirements and the large exposure regime). However, it also formally applies to customers with whom the institution has liabilities on the liabilities side only. Notwithstanding KYC requirements in the context of anti-money laundering and the prevention of terrorist financing, economic dependencies would in principle also need to be assessed for such customers in order to meet, for example, the current reporting requirements [SS27.1][CF27.2][Th27.3] regarding the concentration of financing by counterparty (C 67.00) or concentration of liquidity coverage potential by issuer/counterparty (C 71.00). In our view, collecting such information on economic dependencies for customers without a credit relationship is difficult or impossible without placing an unreasonable burden on and adversely affecting the customer relationship. For customers without a credit relationship (purely deposit-holding customers), a review of control relationships based on readily available information to identify any grouping necessity should therefore be sufficient.

Q95. In light of the ongoing revision of a number of pieces of EU legislation on sustainability (CSRD delegated acts, Taxonomy delegated acts, SFDR), do you see the need for amending any provision of the banking regulatory framework with a view to ensure achieving the objective of properly managing sustainability-related risks faced by banks?

Managing sustainability-related risks faced by banks is mainly governed by Article 87a of the CRD, which is complemented by several guidelines (e.g. EBA/GL/2025/04 (EBA GL on ESG scenario analysis), EBA/GL/2025/01 (EBA GL on ESG risk management), EBA/GL/2020/06 (EBA GL on loan origination and monitoring) and JC 2025 30 (ESAs joint GL on integrating ESG in supervisory stress testing). Therefore, there is no need to further amend the regulatory framework to properly manage sustainability-related risks faced by banks.

Instead, we see as urgent the necessity to align requirements with the current legislation. Indeed, the current reporting requirements for banks deviate from the changes introduced by the Omnibus package in the EU legislation on sustainability (CSRD delegated acts, Taxonomy delegated acts, SFDR). We ask the European Commission to align them. The EBA, in its non-action letter dated 5 August 2025, recommended that until the amendments to the EBA disclosures ITS are adopted and enter into force, competent authorities do not prioritise the enforcement of particular data points in the templates as mentioned in this letter. Taking this into account, we would expect the European Commission to ensure that these data points will be aligned with the changes introduced by the Omnibus package (CSRD delegated acts, Taxonomy delegated acts, SFDR). Changes are also expected on the Pillar 3 ITS (ESG section) to consider the Omnibus changes in the CSRD, and Taxonomy delegated acts.

Indeed, the reduction in data collection for companies related to the Omnibus initiative creates data gaps for banks, making it impossible for them to comply with bank-specific reporting obligations related to climate and environmental risk monitoring and management. **As the CSRD scope is modified, it must be ensured that reporting obligations do not increase or arise indirectly through Pillar 3 or ESG reporting and that supervisors**



become fully aware in their expectations of the data gap that might arise from the customers' side. Otherwise, banks will be forced to impose higher reporting requirements on companies than those specified in the relevant regulation, or reduce access to capital for those companies included in the Omnibus I proposals. Hence, following the adoption of the Sustainability Omnibus package, prudential rules and supervisory expectations should be adjusted to reflect the more limited scope of the CSRD following the adoption of Omnibus I. This is particularly important given the entry into force of the CRR3, which extends ESG disclosure requirements to all institutions, regardless of size. The EBA's proposal to align its requirements with the Voluntary Sustainability Reporting Standard for SMEs (VSME) would constitute a good solution in this regard.

Alternative solutions, such as the use of estimates, would be suboptimal and inefficient. The risk is that the ESG reporting framework and, consequently, the results of Pillar 3 would be largely based on assumptions that are highly questionable, thereby reducing comparability among banks. It is clear that Omnibus I could have on banks the opposite effect than their stated aim if no proper actions are taken before the finalisation of the proposals. In this vein, the streamlined approach outlined by the EBA in its EBA/CP/2025/07 on disclosures of ESG risks for SNCIs – with two annual templates – is a step in the right direction but far more simplification is required.

These changes are particularly important for banks also for risk analysis and the credit process. In fact, the EBA Guidelines on loan origination and monitoring (EBA/GL/2020/06) require banks to *“assess the borrower's exposure to ESG factors, in particular environmental factors and the impact on climate change, and the appropriateness of the mitigating strategies, as set out by the borrower.”* A continued gap between prudential and CSRD requirements would generate frictions in the credit process vis-à-vis clients, and may even lead to the undesired outcome of forcing banks to constrain credit supply, also in consideration of upcoming obligations in terms of transition plans.

As lessons learnt from these two legislative proposals, the Commission should envisage a holistic approach in its Omnibus process and incorporate the Level 2 and Level 3 requirements and guidelines developed by EBA, European Insurance and Occupational Pensions Authority (EIOPA) and European Securities and Markets Authority (ESMA), as well as involving the ECB/SSM to ensure that there is a better alignment and elimination of inconsistencies or redundancies.